Ather Energy (ATHERENERG)

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Call: May 2025

May 16, 2025

To
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor , C-1, Block G,
Bandra Kurla Complex , Bandra (E), Mumbai 400051
NSE symbol : ATHERENERG
To
BSE Limited
1st Floor, Phiroze Jeejeebhoy Towers
Dalal Street Mumbai – 400001
Scrip Code: 544397

Dear Sir/ Madam,

Sub: Transcript of earnings call pertaining to the Audited Financial Results of the Company for the quarter and year ended March 31, 2025

Ref: Regulation 30 of the S ecurities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

This is further to our earlier letter dated May 12, 2025 regarding audio recording of earnings call of the Company pertaining to the Audited Financial Results for the quarter and year ended March 31, 2025 , please find enclosed herewith the transcript of the said earnings call.

The said transcript is also available on the website of the Company at: https://www.atherenergy.com/investor -relations/financials

Kindly take the above information on record.

Thank you

For Ather Energy Limited

Puja Aggarwal
Company Secretary and Compliance officer
Membership no : A49310

"Ather Energy Limited
Q4 FY25 Earnings Conference Call"
May 12, 2025

MANAGEMENT : M R. TARUN MEHTA – EXECUTIVE DIRECTOR AND
CHIEF EXECUTIVE OFFICER – ATHER ENERGY
LIMITED
MR. SOHIL PAREKH – CHIEF FINANCIAL OFFICER –
ATHER ENERGY LIMITED
MODERATOR : M R. NISHIT JALAN – AXIS CAPITAL

Moderator:Ladies and gentlemen, good day and welcome to Ather Energy Limited Q4 FY25 earnings conference call, hosted by Axis Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference call over to Mr. Nishit Jalan from Axis Capital. Thank you and over to you, sir.

Nishit Jalan: Thank you so much. Good evening, everyone. Welcome to Q4 FY25 post-result conference call of Ather Energy and the company's first call after listing. First of all, I would like to congratulate Tarun and team for the public listing of Ather Energy. In the call today, from the management, we have with us Mr. Tarun Mehta, Executive Director and CEO, and Mr. Sohil Parekh, Chief Financial Officer.

Before I hand over the call to Tarun for his opening remarks, I just wanted to highlight the safe harbor statement. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to the business. After the end of this call, in case anyone has any further questions, please feel free to reach out to the Investor Relations team.

Tarun, over to you for your opening remarks, post which we will move to Q&A.

Tarun Mehta: Great. Thanks, Nishit. Welcome, everybody. Welcome to our first results call post becoming a public company. Our deck is already uploaded on all the exchanges, so hopefully you would have received the link for it. I'm going to take about 10 minutes and walk you all through the brief presentation and the key story points, post which we'll do Q&A.

So FY25 was a pretty important and phenomenal year for us at Ather. This was a pivotal year because this is the year we went from being a single product line business to seven products and two product lines with Rizta and 450. This also unlocked strong margins and strong volume growth for the business overall.

At a headline level, and I'm just going to cover both quarter and financial year together. On a full year level, we sold 155,000 units, which is a 42% growth year on year compared to FY24. Total income of INR2,305 crores, which is a 29% growth year on year. The difference is largely down to subsidy and a little bit pricing differential between 450 and Rizta.

Adjusted gross margin for us was a very, very strong story in FY25. The business generated INR428 crores in adjusted gross margin, which is up 172% year on year compared to FY24. This was a very strong lever for us and that's what led to a reduction in losses for us. Overall, AGM adjusted gross margin for us was up 1,000 bps compared to the previous year, 9% to almost 19% and this led to an EBITDA improvement.

EBITDA for the full year was better by 1,300 bps compared to FY24 at minus 23% instead of minus 36%. What's actually very crucial to also call out is that not only is our gross margin improving, as I called out, but particularly when you see our adjusted gross margin without

subsidy. So between FY24 and FY25, subsidy changed quite materially. So, the improvement at that level is even more profound. There was an 1,800 bps year on year improvement in adjusted gross margin when you look at it without subsidy being factored in. This is how the overall year rolled out for us. Q4 FY25 to Q4 FY24, units sold were up 35%, 47,400 units. Total income was up 28%, INR687 crores and EBITDA was better by 1,900 bps to minus 23%.

Big operational highlights for the year. We had a very strong year in terms of product launches with Ather Rizta, our new family scooter, convenient scooter making its debut. With three different variants across Rizta S, Rizta Z, LR and HR. This helped reduce our entry price points quite materially from almost 130k with 450k in the past to about 109k.

FY25 also saw the introduction of our smart helmet line Ather Halo and Halo Bit, sales of which have commenced only recently. We also introduced a new software stack called Ather Stack 6, which has seen strong adoption. And I will come to those numbers shortly.

Overall for distribution, this was an important year as we added 143 stores across the country in FY25, adding up to 351 stores total. We added an incremental 1,128 fast chargers across the country, leading to a total charging infrastructure across the country of 3,611. With a focus on service, we kick-started our Ather Gold Service Centers. These are service centers where we bring higher discipline, higher process discipline, better manpower, better training, better turnaround times overall.

So we launched them and I think we have scaled up to maybe about a dozen or something in that range of service centers across the country. We also opened up a second international market with an expansion to Sri Lanka last year. Our volume growth was quite strong in FY25, 42% growth over FY24. And quarterly performance was also very strong, seeing growth in every single quarter. First quarter was a little soft for us, but post introduction of Rizta, we have seen a strong growth across the country.

Particularly, our Pan India market shares have trended up very well, from 7.4% market share in Q1 up to about 13.3% market share in Q4. And this is Vahan database, so it does not include the

sales that we did in Telangana, a state where Ather is particularly strong. If you were to include those numbers, you will see a material uplift in these market shares further.
Particularly in South overall, Ather has trended as a number one player in Q4, hitting a 22.4% market share. So South India has been historically a strong market for Ather, given the first product success here. And we have always been very strong, specifically in Karnataka, Kerala, Chennai, Hyderabad, everywhere. And with Rizta, we are further solidifying this position.
We have also seen an uplift in performance across the non-South markets. And we believe that non-South markets particularly could be an important driver for growth in the coming quarters.
While this was on top line, our reduction of losses and improvement of margins has happened on the back of our focus on software and a strong R&D-led COGS reduction.
So our COGS per unit saw a very strong reduction in FY25. They were down from 148,900 to 120,700 in FY25, a 19% reduction over the course of a year. This was driven partly by the

introduction of Rizta, partly by cooling down of lithium-ion cell prices, but also strongly by our work on engineering and R&D. We have called it out on our prospectors. Our R&D teams have been able to drive a 31% cost reduction over the last 3-3.5 years overall. And that also played a very important part here.
Gross margin improvement I have already called out, so I will skip that. Software continues to be, if anything, an even stronger story as we have moved into the end of the year. When we filed the DRHP and we talked about FY24 data, I think our software attach rates, which is the number of people who bought software in addition to the vehicle was somewhere around 84%, 85%, I believe, which moved up to 86% when we filed our December financials, which is YTD data.
But with a very strong performance in Q4, software has ended up at an 88% attach rate for our sales over the course of the entire year. Very strong consumer reception with a very strong mobile app rating and it's contributing more than 600 bps to our revenue as we speak. So software, I would call software as playing a very, very strong role in the overall premium pricing that Ather is able to command and the strong margins that we've bee

n able to now demonstrate.
What's ahead in some of the most immediate big opportunities ahead of us is distribution. So you will see that in the presentation also, but basically our distribution expansion really took a massive uplift in the last few months. Post Rizta's introduction in Q2 and its success by the festive where we saw nearly 100% growth over previous festive. We started adding stores at a rapid pace and our distribution was up almost, I believe, 30% in the fourth quarter.
In the single quarter, we added almost 86 stores, taking our total store count to 351. These are obviously new stores having come up just in JFM and expect them to yield very strong dividends over the coming quarters as their sales continue to trend Northward. Overall for the full year, our store count was up 69%.
Today, our operational capacity is up to adding almost two stores per day. And given the headroom available here and the performance and the track record of our other peers in the industry, we believe there's a lot of potential along distribution for our business in the coming months. Overall and financials, I've already called out all the numbers, so I'll skip describing the last slide on the presentation and KPIs also in the presentation, I'll skip describing them too.
Just to summarize, very strong year for top line, 42% growth in volume. Gross margins, absolute gross margins have grown almost 2.7 times over previous year, which has helped improve profitability quite materially with losses coming down almost 17%, 18% sorry almost 18% at a PAT level, 1800 bps almost at a PAT level.
And our overall focus on premiumization, targeting the upgrading Indian is visible with the ASPs, is visible with the success with our software, our success of the ecosystem strategy and the gross margin, it has all yielded together for us. With that, I'm at the end of my overall opening remarks. Nishit back to you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh:Hi Tarun, good evening. Congratulations on the listing. My first question is on growth. Would just like to hear your thoughts on three areas. The industry growth for electric vehicles in particular and then for Ather, how you would further take advantage of how is your product cycle and how is your network expansion plan?
Tarun Mehta: Got it. So, industry had a decent FY25, but I believe for the industry FY26 can be a very strong one. The overall distribution for the industry is higher as we speak in FY26 compared to FY25.
Given the work done by many of our peers over the last one year. So, I believe that will help overall industry volumes. I also believe more products should come out and overall marketing efforts are also quite positive by the industry.

So, I believe FY26 and in general, Kapil, you know this better than anybody else, two-wheeler industry is on a good momentum right now. So, I believe lots of tailwinds for the e-two-wheeler industry particularly in the coming year in FY26. For us on the two parts of product and distribution. So, I believe Rizta over the short term will continue driving a lot of success for us. Rizta is already the majority of our sales and is still in many ways a young product. Its discovery is still happening.

As marketing continues to drive awareness for the product and as we strengthen the product portfolio itself on Rizta, I believe there is a lot of upside here that can be tapped into. I think it will take maybe a year, year and a half before the product line kind of matures frankly. So, it is still in its early days. Ahead of this is the EL product line that we have talked about in our prospectus, which is a low-cost scooter platform. There is very strong work happening on that and I believe that it will unlock a strong market for us, though t

hat is more in the mid-term.

On distribution, I am very bullish on distribution. Our peers have been operating at 700 stores, 800 stores. Obviously, there are really press releases of even higher numbers that you would have seen. While Ather has delivered this volume with like 200 stores, 300 stores until now. So, as we start getting into those hundreds of cities where our competition was present in the past, but we were not. Sorry can I continue Nishit.

Kapil Singh: Yes, I can hear you.

Tarun Mehta: Okay, so I will just continue. So, as we get into those hundreds of cities where our competition is present, but we have not yet opened our first stores. I believe there is a lot of urgent volume for us to tap into. And we can finally get into those markets because now we have a product that can have the throughput to justify these independent stores. See, we have been very careful with dealer, unit economics and profitability.

With a very premium product like 450 in the past, one year ago, we were cautious. We then want to open up stores where profitability would not happen. But with Rizta, a lot of that has changed dramatically. So, I believe to summarize, in the short term, growth will be on the back of distribution. In the mid-term, it will be obviously new products that we are already working very aggressively on.

Kapil Singh:And the second question is on profitability. Obviously, this year from the start to exit, we have seen a pretty strong improvement on the gross margin. So, when you look ahead, what are the cost levers for you from here? And one question specific to the fourth quarter is that other expenses are quite high. So, is it some one-time expenditures here as well?

Tarun Mehta: Right. So, unit economics has already at a strong place over the year's performance as you can see. There are strong levers for unit economics going ahead. EL platform is a very strong lever with the lower cost architecture that it has. That's shaping up very well and I'm very bullish about it. We've also talked publicly about our transition to LFP battery packs, which is underway as we speak, and homologation is already achieved for it. So, LFP battery packs are obviously generally cheaper than NMC battery packs.

And overall value engineering and the new factory in Chhatrapati Sambhaji Nagar should help. So, very strong trends on unit economics. Operating leverage is also starting to kick in. As you can see, the EBITDA and the PAT improved at a better rate than gross margin. As volumes go up, I think there will be a lot more operating leverage to tap into. I think FY '26 and FY '27 will be quite transformational for our overall P&L.

And all this margin -- because basically a fixed cost if you think about it, R&D, marketing and corporate overheads. Corporate overheads are not scaling up too fast any longer. The business is well built out. R&D is also at a healthy place. While it will expand a bit more, but nowhere close to where we are seeing sales responses come in.

And finally, on marketing and sales, it has never been a discount-led brand or a very, very marketing-pushed brand. So, while marketing will continue to be strong, but on a percentage basis, that should also see a downward trajectory.

So, I think very strong levers for operating leverage in the coming quarters, which will hopefully get us to profitability soon. We also believe, Kapil, just to finish that point. For us, profitability could happen at a lower scale than some of the other peers, given a more capital-light and a more capital-efficient approach on business overall.

Kapil Singh: And for the fourth quarter, other expenses?

Management: Yes, Kapil, in that. So, basically, on back of Rizta launch, the push that we did for the sales and marketing. So, those are the expense that have been built into the quarter. And you will have those few of the retail stock, which wi

ll be lying with the dealer, with the subsidy transitioning from 10,000 per unit to 5,000 per unit. You will have those provisions also coming in. So, largely in line with what we do every quarter in the last quarter. So, those are couple of things that

contributed to the other expenses increase.
Kapil Singh: So, I mean, what is the, like, is there a normalized level? How should we think about this? Because, you know, it's a little bit on the higher side compared to the previous two quarters.
Management: Yes, the good way to look at it is on the year-on-year basis. So, if you look at the year-on-year basis, you will be able to see the normalized year. And that's how all the expenses would reflect

the true nature. So, you can look at it from a year-on-year basis, barring the, I mean, the last quarter and also the festive seasonality, which are there to big quarter seasonality that are there in our business. So, if you see on a year-on-year basis, you will get the true picture.
Kapil Singh: Okay. Thanks. Thanks and wish you all the best.
Tarun Mehta: Thanks, Kapil.
Moderator: Thank you. The next question is from the line of Gunjan from Bank of America. Please go ahead.
Gunjan: Yes, hi. Thanks, team, for taking my questions and congratulations on the listing. I just had a few follow-ups from Kapil's question itself. I think, firstly, on the outlook for the EV adoption, how should we be thinking about this subsidy reduction? You know, we did see a pretty strong margin. Things slowed down a bit. So, how should we be reading this? Does this impact demand in the interim?
And also, you know, if you could just also talk about the customer profile. Like, is there a mix that you can share? How many people, you know, how many customers are, you know, share of customers is first-time buyers, replacement, etc? Some color on the customer profile as well.
Tarun Mehta: Yes, thanks, Gunjan. So, first on the EV adoption, you know, last time when, last March, FY '24 exit, if you remember, the industry saw an incredibly big spike in March '24 and a pretty big shrinkage in April '25, which was obviously down to the subsidy coming down from almost INR20,000 to INR10,000. But what's happened this time is, while there was a bit of a jump and a drop, it was materially lower. While March was strong, April was not as weak at all, unlike last year.
And this is basically because the impact of subsidy reduction was just not strong enough. Because fundamentally, there is a limited amount of subsidy that's left on offer anyways. So, we have now come down from INR10,000 subsidy to INR5,000 subsidy. For Athers P&L, that's a roughly 3% impact on revenue, something that, given the strong trend of cost reduction, we have a strong ability to absorb. I think the impact of subsidy in the interim now is limited.
While it still continues to be a good-to-have, I think the industry is frankly preparing for a post-subsidy world through the course of this year. And I think, increasingly, pricing is becoming independent of subsidy. The primary place where subsidy really plays a role.
So, how should EV adoption trend? Well, I believe EV adoption for this year will be strong. I believe growth should be stronger in FY '26 compared to '25. And that's also because I am starting to notice that, I think all of us in the industry are starting to work more on industry barriers. See many years ago, when we started Ather, the biggest barrier that we were really working on, in some ways, was convincing people that EVs are not a toy, and they are strong, and they are reliable, or that they have enough power.
Today, the levers or the barriers that we need to work on are things like battery life, warranties, charging anxieties, so on and so forth, resale value. But you will notice, for example, we have

an 8-70 battery warranty program, where we offer a

n 8-year battery warranty, with a 70% range and performance guarantee at the end of it. Many of our peers are starting to upgrade their warranty programs as we speak. Charging infrastructure is expanding super fast. We now run the largest charging network in India for two wheelers with 35-3600 chargers.
So, I think as we all start training our guns towards attacking industry barriers, this 17%, 18% scooter penetration that you see right now, should start changing quite materially, as the mainstream buyers start flipping in larger volumes. So, very bullish about EV adoption in FY '26.
Overall, on the customer -- so the secular trend there is that, at a household level, 2-wheeler penetration is almost at 70% right now. So, the India that we grew up in, like I remember growing up, there was an Activa, there was a Splendor in many families. But today, all of us have grown up in that climate, which means most of us are now trying to upgrade.
So, what we see is a very strong upgrade play, where consumers who have grown up, or have had a 2-wheeler for a while, are trying to either buy a second one, a more specific purpose one in their family, or they are trying to upgrade their existing vehicle. So, I think premiumization and this upgrade mindset will continue trending very, very strongly.
And I think it's also visible in the adoption of 125cc scooters, which I'm still awaiting FY '25 data, but I wouldn't be surprised if the share of 125cc scooters has now crossed 50%. So, overall,

we see a more upgrade-minded customer walking in, certainly into an Ather showroom.
Gunjan: Okay, got it. This is quite helpful. My second question is on your, you know, we've seen good product acceptance. Now, from a capacity expansion and this new platform, if you can share a bit more on the timelines. It's quite interesting to see the -- to hear about the LFP, you know, transition that you spoke about. Can you share what is the sort of cost advantage that can accrue, and is this a product which is viable across high speed, low speed?
I mean, how should we be thinking about it? Because so far, LFP has been not talked about at all. So, some color on both this capacity expansion and the new platform.
Tarun Mehta:Right. So, first, I'll just take LFP quickly. LFP has played a fairly important role in electric cars, as you would know, where the likes of Tata have been using them for a while. In our industry, in the past, LFP was a bit of a difficult thing to package in, given its highest size and weight. But over the last five years, there's been a lot of strong work that's gone in, in improving both the energy and the packaging density.
What we see today are LFP battery packs, which can fit very well for most customers. I think they are still a bit of a difficult thing to package for the higher range versions. But with improving density for the lower or the mid-range variants, I think LFP can play a very, very, very strong role in India. Also more suitable to our climates and all the other good stuff that you would know. On capacity...
Gunjan: Cost reduction. Sorry.

Tarun Mehta:Yes, on cost reduction. So, obviously, I can't give you any specific number, except that you would know that LFP generally tends to be 15%-20% cheaper compared to NMC globally, most reports will call it out. And that looks like a dependable number in the coming year. Also, the big advantage of LFP is it's a more supply chain resilient chemistry.
So there are fewer fluctuations in pricing, unlike NMC, where you've got nickel, manganese and cobalt, so dangerous combo from a supply chain perspective coming together. Okay, moving on to capacity. So our capacity utilization has been going up steadily. Out of Hosur, we can produce 35,000 units a month. Festive ‘23, October ‘23, we did 10,000 units out of that plant.
Festive ‘24, October ‘24, we did 21,000 units out of that plant. Hopefully, October 25 go

es well,
and we are able to satisfy all the demand that's headed our way with our distribution expansion.
The Chhatrapati Sambhaji Nagar capacity, which is greenfield capacity, should help with further volume expansion next year.
And particularly for the new platforms that we have in mind, particularly the EL platform, where we are looking at a few different processes. So between additional capacity due next year, and the new platform requirements, which are also due shortly, Chhatrapati Sambhaji Nagar plays that role for us.
And goes without saying, a higher capacity like that, which is more vertically integrated and also owned by Ather end-to-end, will have better unit economics for us.
Gunjan: What is the timeline for that?
Tarun Mehta: It's a greenfield facility, Gunjan, so it's the kind of stuff which will take one to two years. Sometime next year, you should see it starting to come on life, but exact timeline we'll share a little later.
Moderator: Thank you. The next question is from the line of Jai Kale from Elara Capital. Please go ahead.
Jay Kale: And my first question is, basically, a few months back, you also mentioned that there is, of course, a disparity between your market shares within regions. Like you're extremely strong in South. But in Northern region, you had also mentioned that some of your ASPs are a little lower than in the South, of course, given the brand acceptance.
How are we in that journey in terms of any initiatives that you'll have taken to address this? And how are you seeing that brand acceptance coming through, which eventually should aid your overall market share? That's my first question.
Tarun Mehta: So, you know, non-South’s also tended favourably for us this year. You can see that in market shares over VAHAN. Particularly strong response for us has been, like the one example that I definitely will call out is Gujarat, where Ather continuously used to be single digit market share, often 4%-5%. But in recent quarters, we have hit 20% market share.

In fact, even 25% in some months. So it's a complete reversal in fortunes in a state which has been classically very heavy on scooters and classically very heavy on family scooters. And really, what's really played the role there is the introduction of a family scooter, Rizta, last year. That's really starting to change the game.
In places where we have even okay distribution, we are seeing very strong response. But most importantly, I think the thing that is really unlocking are those cities where we didn't go in the

past because we were uncertain of viability. Rizta is opening all that in a big way for us. And a lot of that is in non-South markets.
In fact, we called it out even in our presentation that the majority of store introduction that's happened recently has been happening in the non-South region for us at Ather. Pricing, actually pricing has been okay. Our ASPs have been trending quite stably over the last several months, even as non-South market shares have been increasing for us in terms of overall volumes.
So you can see that in our quarterly results in the prospectus and Q4 data put together. Also, what's been very strong is the software attach rates. In fact, that I would probably say was a bit of a positive surprise that despite the introduction of Rizta, which is a more North and West heavy product, which is a more mass market product.
Our software attach rates haven't really wavered. They were 84% in FY24. They are 88% in FY25. So I've been just positively surprised and very happy with the overall response to our more mass market product, response to software, and response from the non-South markets.
Jay Kale: Great, that's good to hear. My second question is regarding, of course these are early days, but you would be having some bit of EVs that would have come for replacement either in your portfolio or from competition to yourself. How

are you seeing the replacement values of these products given that there is quite a bit of difference between yours or competition's quality of batteries, quality of products?
Is there a meaningful advantage that you have in terms of resale value versus the peers? Because that probably could also be one of the functions of long-term sustainable market share gains.
Tarun Mehta:Yes so, let me just tell you a few things about what we have done to support resale price strongly.
Resale price is down to a few things. First and foremost, the quality of the product, which I think we have done a very disciplined job of over the years. We have been very careful with the product's quality.
We have been very careful with launch and introductions and focusing on making sure that a stable product is what hits the market on day one, and the almost decade-long work that we have done on our platforms. Second is pricing. I think the EV industry is really breaking through a new paradigm here and the wisdom often has been that if an XYZ commodity cools down, then you just pass on that discount to the consumer. We have taken a different view at this. Our view has been that you actually do a disservice to your customer and your market by doing that.

There are other ways of handling a cooling down of prices. What we have done at Ather is instead of reducing the price of the same variant, we would rather create a new variant altogether and offer that at a more compelling price. But work hard to protect the price of the product already in the market. I think this helps create an overall perception of a product that is not discounted, a product that will not see its value degrade because of companies' actions. I think that has helped us quite a lot in the past.
Finally, we have also done things like an 8-year battery warranty because one big fear that people have with electric vehicles is that their resale price is going to be lower because just like mobile phones, in 2-3 years the battery will be dead and the cost of battery replacement will be scary high.
So with an 8-year battery warranty, I think we comfortably cover the first resale transition of your product at which point you will still be able to tell the customer that there are possibly years left in the battery with a 70% range still guaranteed by the OEM itself. And we, by the way, also transfer the battery pack warranty to a new customer.
So we have done all these actions to ensure the resale price holds up well. Obviously, data right now is very, very young. So I don't want to cite that what is the resale price of a product except that whatever I see on these online portals is very heartening. But maybe the strongest action point there is that we have been trying to convince our first generation customers for a long time who bought their vehicles at about INR1,25,000, that please give us your vehicles back. We will give you INR70,000, INR80,000, INR85,000 also after 5-6 years.
We have been miserably failing there. We have not been able to convince these customers even at INR75,000 to give over their vehicles. So, sorry, just a small joke. But yes, that's how things have trended. So we feel very good about our resale price.
Jay Kale: Great. Just one last question. In terms of your path to profitability, what are you most bullish on in terms of the drivers? Is it operating leverage? Is it the cost reduction benefits at your plant level and platform scale? Is it the commodities that probably you feel that there is more scope of extracting out of there? Or is it the product mix as you move to new products?
Tarun Mehta: You know, a few things. So Jay, the single biggest lever for growth, I believe, is the opportunity to expand distribution for us. That's something that can give a real flip to volume even further in the coming year. And honestly, at the kind of unit economics we already are at, and remember

that's without PLI, that's with a fairly reduced subsidy today, volume expansion is possibly the single biggest thing to focus on. So we are very focused on that. And distribution will play a very big role there.

In addition to it, I think software is obviously now starting to play a very, very central role to how our margins trend up, because specifically the contribution of that 6% of revenue is very high at an EBITDA level, because this is a very high EBITDA margin business and a very strong operating leverage on this front. So software will also aid our profitability quite a lot. And final is the overall premium positioning that I think we have started to crack.

We see that, obviously I can't cite data for it without formal research, but we see that very strongly already in the southern markets, where Ather is able to command a lot of respect in the markets and with dealers and customers eventually.

Jay Kale: Thanks and all the best.

Moderator: Thank you. The next question is from the line of Nikhil from Invesco. Please go ahead.

Nikhil: Thanks for taking my question. Congratulations, Tarun and team, for the listing. So two questions from my side, Tarun. Firstly, obviously the Rizta scale-up has been quite fabulous. But just on the performance scooters, we obviously launched the new 2025 models. What is the outcome there?

I think if I look at just average monthly run rate that seems to have settled down at a lower level than maybe what you were doing June to say October. I understand that obviously Rizta has come up, but given that you have expanded distribution, I would have expected that, assumed that you should also see some benefit of the performance scooters. So what's the outcome there?

Tarun Mehta: Right. So Nikhil, performance scooters, we have seen some cannibilization for 450 after the introduction of Rizta. Frankly, it's not very different from what we internally estimated. And the reason is simple. We knew colloquially that a lot of customers in many cities were buying an Ather 450 in the past, not because they were necessarily looking for a performance scooter, but for the most part because they wanted to buy an Ather and Ather only had one product.

So they just bought the best possible Ather at that point. But with the optionality of Rizta kicking in, many of those customers would find this more attractive. Also do remember that in South, while performance scooters sell better, ultimately even in South India, performance scooters are not the majority. It is still the convenience or family scooter that is the majority of all scooters sold.

So as our volumes keep going up, I believe that the share of sales of performance and family scooters will more closely mimic what we see wider in the industry. In fact, we are still quite far away from that mean where family scooters are in the industry at 80% and performance scooters at 20%. Having said that, I think we have seen a few things and we have done a few things from our side over the last few quarters.

We are free of the need to have the 450 be the product for all our customers. We have started to position 450 more strongly and more sharply in the performance quadrant, which is we are seeing good signs on the kind of SKUs that are getting picked up, on the kind of attach rates we are seeing with software on 450 even further. And obviously, South is the harbinger of a lot of that success.

We also believe there are other markets which we have not yet tapped into in a big way, particularly in the eastern part of the country where performance scooters have historically done very well, where the 450 part of the business can now start focusing on in a bigger way. So early days, also remember a lot of our volume store expansions come from the non-South markets,

where really this is not going to be the big part of the news overall

. But overall, we see 450 settling at a good place and with an expansion of industry volume and our distributions continued push over FY26.

FY26 might be just the biggest -- it should be a bigger year for us compared to FY25 for distribution. So as that happens, I think volumes will go up, but I would honestly still guide that Rizta will continue winning a bit more percentage market share in our product line compared to 450 in the short term. But honestly, we are quite okay with it as long as 450 has a healthy base of volume.

The margins have been quite favourable for both product lines, something that you can see in our quarterly results. Obviously, while I will not be able to divulge the exact numbers, the increasing volume of Rizta in our portfolio has not really dented our margin profiles at all. So that probably should tell you that there is a lot of confidence in how the margins have shaped up.

Moderator: Sorry to interrupt, sir. The current participant has been disconnected. We will move on to the

next question. It's from the line of Pramod from Incred. Please go ahead.
Pramod: Hi Tarun. Thanks for taking my question. Considering the excitement of a new product which you had last year, how do you look at product development cycle for EVs evolve, E two wheeler evolve, where are you and how do you plan to scale and how is R&D positioned to do the same? And the related question is how important refreshes are in the entire EV space considering there is a lot of consumer durable characteristics of buying which is coming in?
Tarun Mehta: So, on the overall product portfolio we believe there is an incredible amount of opportunity in the scooter business in the near term. The reasoning being scooters are, we believe, are in the midst of a premiumization wave. Maybe very similar to the premiumization wave that motorcycles saw two decades ago courtesy entry of products like Pulsar back then.
And I think as the premiumization wave runs through the scooter industry, it will cause a fragmentation of the customer profile. Basically, the customer will move away from buying a safe and a steady simple product to having differential tastes. We are preparing for that world which is why we are working on our EL platform where we can develop even more number of scooters and can solve for different customer needs in the coming years.
But having said that, don't take this as a guidance to have like 10, 20 different scooters. What I am saying is I think one or two scooters is not enough, there is opportunity to have maybe few more. In the more mid to long term, there are motorcycles for which we have already guided that we have begun platform level work. But specific product guidance is still some time away. And that's just down to us choosing to focus more on scooters in the near term. On refreshes, we've been doing refreshes at quite a healthy pace. We've been more focused on software refreshes than heavy hardware changes. Though having said that, we've seen several platform

upgrades over the life of Ather 450 already. Rizta just launched less than a year ago, so obviously it's some time away from a major refresh.
But 450 has shaped up quite well. Despite being now 6 years into this line, it's still holding quite strong in markets where it is strong like in Bangalore, Chennai, Kerala, all these places. So is the cycle more like consumer durables? I don't know honestly. I think ultimately, there is a very heavy weightage and influence of the auto industry. In fact, if anything people don't want to see very rapid hardware changes because that probably hurts resale price.
So it's better to focus more on software link changes which can be more backward compatible and something that we've strived hard to achieve over the recent years.
Pramod: And the second question is with regard to the largest cost element, which is sales. When you look at internat

ional sourcing and equality, which I carried as a pronounced statement all along, what would you look forward for India sourcing per se? Is it more cost or stability of supplies and what's the realistic timeline you would be looking at sourcing from India?
Tarun Mehta: So we believe over the coming few years, sourcing from India has got to be a strategic imperative for any OEM in India. Same is the case with us. While we obviously are not big fans of producing lithium-ion cells ourselves, we believe it's a business that has a very different profitability profile and needs a different scale and timeline commitment behind it.
We also believe there are very strong players in India who can make that work. We've already announced MOUs with the likes of Amara Raja and we already have live relationships with the likes of LG. And what also gives us a lot of confidence are the announcements by many very strong cell manufacturing companies globally who are starting to set up operations in India, whether it is Panasonic with IOCL or whether it is Reliance's multi-billion dollar commitment to producing LFP cells in India or Exide, which I believe is already live as we speak and many other, including a few start-ups.
So I'm very bullish on seeing domestically produced cells. Obviously, on the overall supply chain, I think we are sometime away from going up the chain to things like cathode and all those active materials, but I think the cell itself should move to India in a few years and Ather will work on being one of the earliest adopters of India produced cells. I think that is the right thing strategically and from a policy perspective to focus on, but I would still guide a couple of years, maybe a few years to get there.
Pramod: And the focus will be on quality than just the pricing or what would be your key criteria to fulfil local sourcing?
Tarun Mehta: Hard to say and I'm honestly just speaking of my own gut instinct at this point. I believe India produced cells may not necessarily bring a big cost advantage in the near term because frankly it's going to be hard to beat China's massive scale and pricing structures overall. But I also believe that there will be ways the government will make it work to at least make the price competitive.

So I believe it will be flat to maybe–it will be possibly flat, maybe marginally up, not materially lower. And quality is also going to be a journey because there is a process know-how that developed lithium-ion markets like China, South Korea, Japan have built over the last several decades. So I think India will go through its own journey in getting to the same level of quality. And by quality I really mean first time right metric. I think what will go in the vehicle has got to be the same quality performance as what we import today.

Pramod: Sure. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Nikhil from Invesco. Please go ahead.

Nikhil: Thanks. I just had a couple of follow-up questions. One was on the distribution side, Tarun. Obviously a lot of stores have been added especially in Q4. I just wanted to understand based on your past experience typically what is the kind of time taken per store throughput to ramp up to a good enough level and going ahead what is the kind of number that you are targeting say over FY26, where do you want to take the number of stores to?

Tarun Mehta: Right. So Nikhil, we had an older store format with which we were opening -- with which we were expanding distribution till about let's say 1.5 years, 2 years ago. After that first wave of stores, we had a lot of learning and we were able to optimize cost structures quite a lot working along with our dealer partners.

Today the new format stores that we open breakeven at a much smaller timeline. They are down from taking several years to get to steady state and years to profitability to liter

ally down to a few quarters now. And the early signs of the core stores that we have opened in the last couple of quarters are very, very promising. So we are very bullish on them in the near term. And how many stores can we open? That's a tricky one.

I honestly think there is an opportunity for hundreds out there, but it's difficult to give an exact number. What gives me the confidence to just sort of run full speed here is the fact that our peers are at about 800 odd stores while Ather has only now gone to about 350. In every sales review we see there are hundreds of these cities where we have not opened our first store and these cities are shaping up really well. So I think there is a lot of headroom here but it will be difficult for me to give you an exact number at this point.

Nikhil: Understood. And just one last housekeeping question. If I look at the employee benefit expenses last year it was around INR154 odd crores. That has come down sharply to INR109 crores in this quarter Q4 FY25. So any one offs last year or what was kind of given that significant reduction?

Tarun Mehta: I believe there were a few stock options that particularly vested in that time period that caused a change.

Nikhil: Thank you and all the best.

Moderator:Thank you. Ladies and gentlemen this was the last question for today's conference call. I now hand the conference over to the management for closing comments.

Tarun Mehta: Everybody thanks for making time and joining us today on our first call and the first results after listing. We are very excited about growth and we couldn't have wished for a better quarter and a better year to get in front of the world and tell our story. Our belief always has been that our bet has been on an upgrading Indian customer on technology.

And strong bets on R&D and brand and I think they continue to pay and they have paid rich dividend in the recent quarters and months and hopefully with the distribution expansion that's ahead of us and in the more midterm the portfolio expansion we'll have many more exciting calls to jump on with you all. Thank you.

Moderator: Thank you. On behalf of Axis Capital that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

August 0 8, 2025
To
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, C -1, Block G,
Bandra Kurla Complex, Bandra (E), Mumbai 400051
NSE Symbol: ATHERENERG To
BSE Limited
1st Floor, Phiroze Jeejeebhoy Towers
Dalal Street Mumbai – 400001
Scrip Code: 544397
Dear Sir/ Madam,
Sub: Transcript of earning s call pertain ing to the Unaudited Fina ncial Result s of the Compan y for the quarter ende d June 30 , 2025
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in furtherance to our earlier letter dated August 04, 2025 on the audio recording of earnings call of the Company pertaining to the Unaudited Financial Results for the quarter ended June 30, 2025, please find enclosed herewith the transcript of the said earnings call held on August 04, 2025 .
The said tran script is also av ailable on the website o f the Compa ny at: https://www.atherenergy.com/investor-relations/financials
Kindly take the above information on record.
Thank you
For A ther Energy Limited
Puja Aggarwal
Company Secretary and Complian ce officer
Membership no: A49310

Q1 FY '26 Earnings Conference Call
August 04, 202 5
MANAGEMENT :
MR. TARUN MEHTA – EXECUTIVE DIRECTOR & CHIEF EXECUTIVE OFFICER – ATHER ENERGY LIMITED
MR. SOHIL PAREKH – CHIEF FINANCIAL OFFICER – ATHER ENERGY LIMITED
MR. MURALI SASHIDHARAN – HEAD OF PUBLIC RELATIONS & GOVT RELATIONS - ATHER ENERGY LIMITED

Moderator: Ladies and gentlemen, good day and welcome t o Ather Energy Limited Q1 FY26 Ear nings Conference Call. As a reminder, all participants' lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.
Please note that this conference i s being recorded. I now hand over the conference to Mr. Murali Sashidharan from Ather Energy Limited. Thank you and over to you, sir.
Murali Sashidharan: Ladies and gentlemen, a very good afternoon, and welcome to Ather Energy Limited's Q1 FY26 Earnings Conference Call. We have with us today Mr. Tarun Mehta, Executive Director and Chief Executive Officer (C EO) of Ather Energy and Mr. Soh il Parekh, Chief Financial Officer (CFO) of Ather Energy.
Before we begin, I would like to add that anything that the management might say on this call, which might be seen as forward -looking statements, may involve risks and uncertainties . Such statements or comments are not guaranteed by Ather Energy Limited, and the actual results may differ from those statements. So, we will begin with a brief overview by Mr. Tarun Mehta. So on to you, Tarun.
Tarun Mehta: Hey, thanks, Murali. Welcome, everybody. So, we are reasonably young in our life as a listed company, and this is only our second earnings call. So first ly, I want to thank everybody who's joined in today. And given that many of you might be following us only recently or might be still new to our story, I just want to take a couple of minutes and just explain what we're building at Ather . We started Ather about 12 years back, and there are two big bets that we have taken in this business that have come to really represent Ather over the last decade.
The first bet has been on the premiumization of our industry and the bet on the upgrading Indian buyer. We believe that the two -wheeler industry, particularly the scooter industry, is going through a fantastic phase of premiumization and will continue to d o so as per capita incomes go up. Majority of households already have a scooter or a bike and are buying one increasingly that is of an upgrade to them and their families. And that's the trend that Ather wants to ride. We built a brand over the years, par ticularly focusing on this.
The second bet has been on R&D and technology. Ather has been well -known in the industry

and to the consumers for a strong investment and a strong focus there. Over the years, this has led to a very strong patent portfolio. In fact, we finished Q1 FY26 with 417 patents filed, almost 60-70 new patents in the quarter with half of our workforce in R&D.

We believe the best EV businesses will be those who will be able to navigate the future of EV . You will have to have a very strong R&D base and that's what Ather continues to invest behind.

With that, let me just zoom in a little bit on how Q1 was. Q1 for us was a very strong quarter. Typically coming from Q4 to Q1 in our industry. In Q4, there is a little bit of a volume run -up because of the March exit numbers, specifically with subsidies coming down.

And Q1 often showcases a little bit of dip in volume. Despite that, we saw very strong performance. Our units sold were at 46,000 units, which were up almost 100% over the same quarter last year.

Total income was at INR672 crores, which was up 83% over the same quarter last year. A djusted gross margins were up even better. They were at INR154 crores, which are 117% up year -on-year. And on a percentage basis, hit a high of 23%. Even if you were to see our margins without any government incentives, they come to about 20%, which is a 700 bps improvement over the same quarter last y

ear. Very strong performance over Q1 FY '2 5 on top line, margins, and also EBITDA. We finished Q1 with a minus 16% EBITDA, which was also 1700 bps over the same quarter last year.

This jump in volume was also matched with a growth in market share for us. Obviously, compared to Q1 FY '2 5, we were almost doubled from 7.6% to 14.3%. But even compared to Q4, we grew our market share by about 70 bps from 13.6% to 14.3%.

To better understand this growth, I think it's important to focus on our strategy, which has been distinct basis the geography. For example, in South India, Ather has generally been a strong player. And there, our strategy has been in building up our dominance. Q1 FY '2 6 was the first quarter when for the entirety of the quarter, Ather became the number one player by volume, ending with a 22.8% market share.

This is down to the increasing popularity of Rizta in the Southern markets in the recent months and quarters. While Rizta launched last year, we started focusing on Rizta in the Southern markets only recently and that's leading to a strong performance in volumes.

Moving up, in Middle India and North India, most of the growth is driven by distribution expansion. So for us, in Q4 earnings call, I had called out that we are on a big network expansion. We added 86 stores to our total network in Q4 FY '2 5. Q1 was even better , we added 95 stores, averaging more than one store a day and expanding pretty rapidly across the country. We are now up at 446 stores.

Obviously, as you can imagine, there's still a fair bit of headroom available here. And we believe there's an opportunity to add many more stores in the coming quarters. These stores particularly played out in a big way in Middle India. For us, Middle India are the five states of Gujarat, Maharashtra, MP, Chhattisgarh and Odisha.

Over the last few quarters, we've been focused on adding more and more distribution and more and more stores in this zone. And that's led to a strong market share performance. In Q1, we ended with 10.7% market share, up almost 2.5x over the same quarter last year and expanding pretty rapidly. I believe that these stores that we've added and continue to add in this zone will continue paying a very strong dividend as store throughput continues to shoot up every month over the next few months.

So, this year, a fair bit of growth will continue coming from the Middle India geography. Rest of India, particularly North India, we have added stores and we have expanded our network, but really our focus is shifting our network expansion into this zone as we speak. This is a very large zone, states like Rajasthan, Uttar Pradesh, Bihar, reall y giant geographies, all of Northeast. We're excited about them and we believe an expansion of distribution here can drive and pay dividends for us over all of next year and put us in a really good position as we get ready with new products, specifically our EL platform and our low -cost products in the coming year.

So, South India is all about consolidation and building up our market leadership. Middle India, we've already begun a strong work on network expansion that is starting to already pay off results and I believe over the coming quarters will continue to pay more results. And rest of India, where we are now moving our attention and in the ensuing quarters, you will see specifically next year, you should hopefully s ee strong results from this cohort also.

If I move my focus to adjusted gross margins, they have obviously seen a strong improvement as I called out, up from an average 19% last FY to 23% in Q1. A lot of this is also driven by our non-vehicle revenues, which have now hit 12 % revenue contribution. This is a mix of our

accessories, our warranty programs and our software.
Software is trending very, very favorably for us and has been actually holding up really well des

pite an expansion into all parts of the country today with very high attach rates. So , our accessories, Ather helmet, our Halo sales have also commenced and they are also adding to this. Charging infrastructure is also up. We added almost 400 charging points last quarter, hitting 4,000 charging points everywhere. All of this is obviously matched by CO GS reduction. CO GS came down in Q1 almost 7% compared to the average of FY '25.
EBITDA improvement. In Q1, given that we had the IPO pretty much in the middle of the quarter, early May, some of our investments could commence only a little later. So , there is probably some amount of deferment, I would say maybe INR20-INR30 odd crores in this quarter. But even after factoring that, Q1 was a terrific improvement over Q1 last year. EBITDA losses have narrowed down from -33% to -16%. Even on an absolute basis , EBITDA has come down and operating leverage is starting to show results here.
What's ahead for us? Just zooming out from numbers a little bit. Obviously on the watchouts, we continue navigating and continue focusing on the rare earth magnet s crisis in our industry. Our teams have done hard work at multiple approaches here. In the medium term, I foresee fairly strong options which should hold up really well. And I am pretty positive about volumes and performance there. In the short term, which is this quarter, there could be an impact of about a week -odd in terms of potential business impact. We will try and contain that with our channel inventory as much as possible. As of now, I am optimistic that any impact of rare earth magnets would be restricted to Q2.
What's exciting for the future is looking ahead. First, in the next few weeks, we have our annual launch day, Ather Community Day celebrations end of this month, 30th August. We will be unveiling our new generation software, Ather Stack 7 there. We will also be unveiling critically

our new platform, the EL platform, which is a new scooter platform designed for cost and scalability in this event on 30th August.
For us, LFP battery packs have already gone live, so very happy to announce that. And you will hopefully see the impact of that in our financials in Q2 and Q3 as the percentage contribution to sales starts becoming more and more visible. And finally, our Factory 3.0 , which is our expansion for next year, is on a good track. And we'll have more updates to share on that in the coming quarters.
With that, let me just take a pause. I think the summary for the quarter is done, and we can move to Q&A now. Thank you.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Nishit Jalan from Axis Capital.
Nishit Jalan: Congrats on a good set of numbers. Tarun, I have two questions. One, on the cost reduction side, we have seen gross profit per vehicle improving by about INR3,000 -odd Q3, INR3,500. And this is despite that incentive came down by around INR5,000 in this quarter. So, I just wanted to understand how much of it is d riven by cell prices and how much of it is driven by vis a vis basically company -specific and industr y-specific factors, number one.
Number two, how do you see this going ahead? Are entire benefits from cell price reduction and all have come through, right, or more we will see coming ahead? So, some indications, some thoughts around how should we look at BOM costs going ahead.
Second question, you did talk about 7 days of impact because of rare earth issues in this quarter. You mean 7 days of production impact and retail impact will be much lower because of inventory , because we are getting into the festive months also now, so probably your production run rate needs to pick up ? So, will we be able to do that or not?
And thirdly, you are unveiling this EL platform on 30th of August, right?

When do we see
products under EL platform are getting launched and which will be the key states or anything that you will be targeting this platform primarily, right, or will it be more pan -India across states or something? Thank you.
Tarun Mehta: Thanks for the visions , Nishit. So , I'll take a quick stab at them. So yes, we saw a gross margin improvement, and I think what you will see as you dive into the numbers is that our average selling prices have actually held up quite favorably despite subsidies coming down by INR5,000. So, it's actually a combination of our value engineering work, favo urable commodities, also the strength of the brand. We've been able to calibrate prices upwards and ensure good attach rates of software. Our product SKU has been very heartening, even with Rizta , not just 450. So, product SKU has been very favo urable. Software attach rates have been very favo urable. All of them have contributed to very steady ASP despite subsidies coming down and very steady revenue realization despite subsidies coming down.

It's a mix of, on the cost reduction front, I would say it's a mix of cost reduction and commodities, particularly cells in our case, that has played out this quarter. On rare earth, very quickly, it's a blended thing. Obviously , we are factoring higher production and higher throughput for this quarter over the previous quarter, particularly with the new stores and the festival that's ahead of us.
So, when I say 7 days of impact, that's factoring all of that in. So , the right way to see this would be not like production stopped for 7 days, but a possible gap in our ability to supply our dealers demand for up to about a week for this e ntire quarter.
Obviously, teams continue working hard on minimizing this also. This was a larger gap a few months ago, but a lot of strong R&D work has helped minimize this. At this point, this will have some impact on retail. I would be amiss if I said this will have no impact on retail because our channel stocks are not that high. But there is channel stock and that's the advantage of having a channel. So , the impact on retail would be lesser than that of wholesale. So net, I think it will be a small impact in Q2, hopefully. Obviously, if anything changes, we'll keep our eyes on it . But otherwise, it seems fine.
And EL platform, when? So, we'll be unveiling the platform this month and later this month. Pardon me , I will not be able to share timelines on the product today. But I think next year we should see some good action. But I will not be able to give you mo re specific timeline than that.
EL, traditionally, I've been always clear will help us expand the market because it's a cheaper platform for us to manufacture. It'll also be manufactured largely out of our new facility, which is more integrated, so has better assembly costs. So overall, EL opens up the gate for more accessible price d products in the coming year.
Nishit Jalan: Thanks, Tarun . Just one clarification here. What I meant on EL was that, obviously, it will be a cost-effective product. So, will you look to launch more in middle India, North India and all or will you do it P an India, even in the Southern markets and all in terms of the strateg y because you may not want to cannibalize your high -priced products in Southern states. So, do you think that both these will coexist and you will launch it parallelly across all your states or all your dealers ?
Tarun Mehta: As of now, we don't have a deep view on this. We're excited about EL as not just a product that can expand time, but also a product that can potentially expand the margins. So , given the potential for expansion on both, I see no strong reason today to gu ide EL on only one specific geo, b ut obviously, as the product shapes up more and we get closer to the launch, you will see our actions call t

his out.
Nishit Jalan: One small thing related to numbers. Typically, OEMs come up with their monthly numbers on first of the month. So , will you be also doing that? And secondly, in your presentation, I can see that Q1 F Y'26 volume since 4607 8. But when we look at the SIAM numbers, those are on the higher side. So , just wanted to understand, maybe we can take it offline also, but there's a gap betwe en the numbers which we see in SIAM and wh ich we see in your presentation?

Tarun Mehta: Can you repeat the -- so your first question was, would we announce numbers on the first of the month?
Nishit Jalan: Yes, typically, if you see, for example, all the companies, auto companies, for example, on 1st of August they reported numbers for the July month, all the listed companies. So , just wanted to understand if you guys will also be doing that now that you're a listed com pany. And secondly, the numbers is also very consistent?
Tarun Mehta: Yes, very quickly on that. Right now, we have no plans of announcing monthly numbers beyond what you see in Vahan. Honestly, I think our industry has an overload of numbers. There are already Vahan numbers. There are other retail announcements. If on top of it, we also start announcing monthly wholesale numbers, I think it will be confusing.
So right now, I don't see a very strong reason to announce monthly dispatches, b ut happy to revisit it at a later point if there's a compelling reason. Your second question was what is the difference between what and what?
Nishit Jalan: So, basically we get thes e Ather sales numbers from SIAM data also a nd there is this vehicle sold number in the presentation. The numbers don't add up. It's about 1,0 00, 2,000 units difference every quarter ?
Tarun Mehta: The financial numbers that you see are wholesale numbers. So, that is what has been dispatched to dealers and received by them. I think there could be a difference be cause of transit in case of SIAM . Again, please pardon in case I'm wrong. I'm just reading t his off the top of my head. SIAM numbers might be dispatched data. So , there could be a transit gap depending on the quarter. We don't count vehicles which are under transit and not received by the dealers as our

wholesale in our P&L.
Nishit Jalan: Okay, got it. Thank you so much and all the best.
Moderator: The next question is from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: My first question is on the rare earth issue. Could you help us understand how you have handled this situation? What kind of solutions have been worked out? Are these short -term or long -term? And is there any cost involved that we should keep in mind?
Tarun Mehta : For the rare earth, the key challenge boils down to the fact that China has banned the export of heavy rare earth magnets, which leaves a few possible options for anybody. Either you partly assemble your motors in China and don't import magnets, or you mov e production to heavy rare earth free magnets, which are rare earth magnets, or you move away from rare earth of any category and move to ferrite. Now, in our case, we are exploring all.
I will not be able to share at this point. I'll likely be able to give more color by the end of Q2 once we finish the transition. But at this point, honestly, we are exploring all options. I'm more optimistic about moving to rare earth magnets out from hea vy rare earth magnets because rare earth magnets don't have an export ban and have a little bit of more supply available globally,

with China not being the only one. So , I'm more optimistic about going heavy rare earth free to rare earth magnets.
Cost impact. At this point, there is a small impact of additional logistics because we've obviously had to scramble our supply chains. But we expect it to be a s

mall number at this point and also temporary.
Kapil Singh: Okay. And will there be any performance impact also with this?
Tarun Mehta : The reason we are taking time in engineering is spending a lot of time in R&D is because we are working hard to ensure that there is no impact on the product performance at all.
Kapil Singh: Great. Second question is on demand. Just your general understanding of how I know your numbers are obviously ramping up very nicely. But what is the general feeling at this point about electric vehicle demand? The consumers who are not converting to elect ric right now, what is the key hurdle in your view?
And then lastly, I have a question on we've seen some improvement in non -vehicle revenue also. So, some of the products, I think accessories have started rolling in the market. So , any color you can give in terms of how the customer experiences?
Tarun Mehta : So overall, I believe the key focus for us as an industry has to now move towards converting the more mainstream customers. I believe that now that EV penetration is starting to get in the 20% range in scooters, we've gone beyond early adopters and even ma ybe early majority , sorry innovations and early adopters.
I think we are now getting into the early majority crowd, which is the 20% to 50%, 20% to 60% kind of market opportunity. And for these customers, I believe the key focus has to now move on to really giving them assurance, really giving them comfort that electric is a very good, safe choice. I believe that for most scooter buyers, electric already looks like an upgrade. Electric already looks fancy. Electric already looks premium. I think what they need is comfort that the battery is going to be good, the safety is going to be good, that service is going to be good, that resale price is going to be good.
And I believe that we will all have to focus our communication more towards those topics, something that we are already doing as part of our Ather Advantage campaign in marketing, which is live right now. You will notice we've pivoted our communication ver y heavily towards these topics. Kapil, your second question was?
Kapil Singh: On the non -vehicle revenue.
Tarun Mehta : Non-vehicle revenue. Yes, so non -vehicle revenue, honestly, definitely will hopefully trend higher and higher because service revenues will keep increasing with a higher base of installed vehicles in the field. That's a very strong upside. Also, we've been very focused on two thi ngs. First is accessories. So, accessories, Halo is trying to now contribute meaningfully.

Accessory - sale of accessories per vehicle was stronger, quite materially stronger in Q1 over previous quarter. Software has been trending again very favorably as I've called out and the numbers are there. 89% attach rate in Q1 also. Finally, even charging infrastruc ture had a fairly strong quarter with very strong monetization this time around. I don't want to oversell charging infrastructure, but in terms of contribution to the expansion, it did have a very strong contribution this quarter.
Moderator: The next question is from the line of Vishal Goel from HSBC.
Vishal Goel: Thanks for taking my question and congrats on your good sales of results. So, my question is more on expansion. In more mature states and cities as well, the EV penetration has sort of

stagnated now, for example, in Bangalore or Kerala. So, what is your v iew on the same and what has been your experience with the new showrooms? Does the company have to invest significantly in that local brand building activity there? I just want to take your view on this part.
Tarun Mehta : So, first on stores, ours is almost completely a dealership model, which means our partners spend the capex to get the stores and the service centers up and the opex is on them. So, at a company level, there is no additional cost in

crease or capex because of distribution or service infrastructure expansion.
I see a significant opportunity for our brand in Middle India and North India. Even in South India, there are pockets which we continue to see opportunities in, particularly in Tamil Nadu, where there were several cities, I think like 12, almost 15 -20 citi es, where Ather did not have a store until a few months ago. So, there is a distribution expansion opportunity for us here also.
I think at an industry level, as I called out, I think the focus has to now move towards giving people more comfort, giving people more assurance and I do believe that we will continue to see strong traction, strong results. ASPs are holding up really well , customer interest is coming in really well and a lot of this growth, at least at the industry level, will not be very linear. You will see spurts.
Every time you crack a new cohort of customers, you will certainly see growth spiraling very rapidly and then maybe a couple of more muted quarters. But at this point, the factors are really loaded in favor of electric. The unit e conomics is strong and brands have very credible products. I am very optimistic.
Vishal Goel: So, basically you are saying that for a local brand building, your dealership is coming in and the company is not taking much of the cost there.
Tarun Mehta : So, our brand building spend happens at a more central level, where whether it is state -wise campaigns or national campaigns, Ather does invest meaningfully in marketing and I am a believer that a young brand like us is ought to spend in marketing and brand building. But we do not have to spend for getting the infrastructure. So, the store is not on us and the service infrastructure is not on us. But the marketing spends are largely by Ather.
Vishal Goel: Thanks, and just a follow up question .

Tarun Mehta : I just want to make one more point. One more factor that I am optimistic about for driving industry growth is that two of the largest scooter manufacturers from Iceberg now have their EV portfolio live, which are our two Japanese counterparts. And I believe that their entry on the electric side is going to drive a significant awareness about electric for the mainstream customer. Because, put another way, 70% of people who buy a scooter today and those two brands would not even see an electric if they went to their showrooms in the past. Now they will, which will drive further awareness and further consideration for pure -play EV b rands like ourselves and for the industry. So, I think one of the strongest things that has happened in the last few months is these brands also getting into electric.
Vishal Goel: Right, thanks. And that's very clear. So, my follow -up question was that what could be the blended impact of this mandatory ABS thing on your portfolio?
Tarun Mehta : It's a little early for us to be sure. But one factor that really helps us is that I think the entirety of our portfolio has a disc brake in the front. The entirety of our portfolio has a disc brake in the front. So , a very large chunk of our portfolio has a disc brake in both the front and the rear. So, we don't have to take that cost on. We have to take a lower element of the disc cost on compared to many other players out there.
In general, I am and we at Ather are pretty bullish about safety being a big theme for the Indian two-wheeler buyers. I believe just like what we saw in cars, safety features and focus on safety will become an important selection criterion or an important filtration criterion for the customer of the future. So, directionally, we don't have a dissonance with this path.
Obviously, we would prefer for this to be not mandated and to be more optional at a brand level. But if it is mandated, I think, we might be in a slightly better place than some other brands. Also, given that our ASPs

are slightly higher, the contribution of ASP , contribution of ABS to our COGS would be a little lower than many other brands out there.
Moderator: The next question is from the line of Rahul Kumar from Vaikarya.
Rahul Kumar: Yes. Hi. First question I have is, what's your strategy on the vendor diversification for products like traction motors, notwithstanding this rare earth crisis, but in general for the future?
Tarun Mehta: I think this is a little bit of a high -level response. I believe we are now in an era where the number one priority for the supply chain has got to be derisking and hedging. And it's not just us or not just our industry, but across industries. We are going to be no different. We are going to be focusing on that in a big way. We want to now ensure that our supply chains have alternates at a country level, alternates definitely at a supplier level. And I'm saying Tier 1, Tier 2 of suppliers

also.
So, we focus on that in a big way even in the past. In our prospectus, we had called out how expanding the number of suppliers has been a very big strategic imperative at Ather in the past, with the vast majority of our bill of material being dual or even triple sourced. And that, if anything, becomes an even higher selection criteria for us and a focus for our engineering and supply chain teams.

I think with the entire crisis that we had on magnets in the last few months, this is opening up new and new innovative ideas about how to derisk on that front, how to derisk on the lithium - ion cell front. And the rest of the raw material anyways had a ver y strong India supply chain, which itself was also fairly diversified. So , this will be, to summarize, a fairly large, in fact, the highest priority for our supply chains in the coming time.
Rahul Kumar: Okay. And just for the new plant which you have in Aurangabad, what's the ramp up plan over there?
Tarun Mehta: So, IPO proceeds have only come to us last quarter and we are just wrapping up some compliance work at the site. Work will be commencing very shortly. In fact, probably this quarter itself, we will have a few announcements hopefully to make. We will keep you updated as those , as we move on those steps. Right now, we are targeting sometime next year for go -live of this plant.
Rahul Kumar: Okay. And last question, are you planning for a motorcycle launch, EV motorcycle launch?
Tarun Mehta: We continue to work on a platform. We've called it the Zenith platform, with our focus being on mid-performance bikes, around the 150cc, 180cc mark roughly. Having said that, we are right now only working deeply on the platform. This will take a little bit of time. And our current short -term priority is on the EL platform and the scooter products that it will yield in the near - term. So expect the motorcycle announcement to be definitely not this year. It's still some time away. For us, motorcycles are still a priority two after scooters.
Moderator: The next question is from the line of Kapil Singh from Nomura .
Kapil Singh: So, Tarun, one question was on the incentives which you will be getting for the plant. Can you give some indication of that as well?
Tarun Mehta: I'll just request Sohil to answer this so that he gets the facts right.
Sohil Parekh: So, Kapil, we have a significant capital subsidy chunk which will be received against the total capex investment. And from an opex point of view, we have a 2.5% GST uptake that we will receive from the state share, which is all the vehicles which are bein g sold out of the state. And the capital subsidy is over a period of seven years and the GST subsidy is over a period of 15 years. And this is over and above the standard SOPs that are already part of the going live where there is a n exemption on discounting and exemption on electric duty, stamp duty, land price, all of that.
Kapil Singh

: Okay. And am I correct in understanding that the current plant does not have these kind of incentives or we currently have these kind of incentives also?
Sohil Parekh: So, there are similar, not exactly apple -to-apple, but there are incentives that we have in the current plan t as well, and we continue to accrue as and when the milestone is reached. So , that is also duly accounted in the books, even in fact last year as well. But the scale is different because the size of investment is different.

Kapil Singh: Okay. And one question was on the employee cost. I think you did allude a little bit to it, but, like, if you could give some indication whether it's at a reasonably normalized level or you expect this to step up further through the year?
Tarun Mehta: So, Kapil, I expect the operational teams, the wage bill to continue increasing for some time on the operational team front, which is our manufacturing and our sales and service , HO teams . I believe that there , I expect their cost to continue increasing for the next actually few years.
On the R&D front and the corporate teams, I think, we are very close to achieving a steady state headcount. There will be some more expansion, but I don't expect them to be very noticeable. That plus obviously annual pay revisions. But the big expansion will continue happening for a while on the operating teams.
Kapil Singh: Okay. And similarly, the other expenses , these are at normalized levels because last quarter was quite high and this quarter is quite low. So just checking if this is the normalized run rate and then it will go online.
Tarun Mehta: So, the right way to see EBITDA would be, we believe that EBITDA loss is better by about INR20 crores to INR30 crores because the presence of the IPO right in the middle of the quarter, some of the expenses did not start on time. So maybe to that extent, you could normalize. But, yes.

Kapil Singh: Okay. And just finally, the capex number for the full year, how much do you expect to spend? And do you have any indication what could be the cash burn for the year?
Tarun Mehta: So, it will be difficult for me to share forecasts on that at this point. The big capex outlay for us compared to last year would obviously be Factor 3.0 in Aurangabad, Chhatrapati Sambhajinagar. Outside of that, I expect our capex would be quite similar to o ur capex last year, given that last year we had some pending payments coming from Rizta and capacity expansion continually happening for Rizta. While this year, there is some capacity expansion and a fair bit of R&D. So, I think that part of capex might be quite comparable, plus whatever will come due for Factor y 3.0.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Murali Sashidharan for the closing comments.
Murali Sashidharan: Thank you for taking the time to join us today and for the questions and perspectives you have shared. We value continued dialogue and look forward to keeping you updated on our progress in the quarters ahead. Until then, thank you once again and have a go od week ahead .
Moderator: On behalf of Ather Energy Limited , we conclude this conference. Thank you for joining us and now you may disconnect your lines.

Call: Nov 2025

November 1 4, 2025
To
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, C -1, Block G,
Bandra Kurla Complex, Bandra (E), Mumbai 400051
NSE Symbol: ATHERENERG To
BSE Limited
1st Floor, Phiroze Jeejeebhoy Towers
Dalal Street Mumbai – 400001
Scrip Code: 544397
Dear Sir/ Madam,
Sub: Transcript of earnings call pertaining to the Unaudited Financial Results of the Company for the quarter and hal f year ended September 30, 2025
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in furtherance to our earlier letter dated November 11, 2025 on the audio recording of earnings call of the Company pertaining to the Unaudited Financial Results for the quarter and hal f year ended September 30, 2025, please find enclosed herewith the transcript of the said earnings call.
The said transcript is also available on the website of the Company at: https://www.atherenergy.com/investor -relations/financials
Kindly take the above information on record.
Thank you
For Ather Energy Limited
Puja Aggarwal
Company Secretary and Compliance officer
Membership no : A49310

Q2 & H1 FY 2026 Earnings Conference Call
November 11, 2025
MANAGEMENT:
MR. TA RUN MEHTA – EXECUTIVE DIRECTOR & CE O – ATHER ENERGY LIMITED
MR. SOHIL PAREKH – CHIEF FI NANCIAL OFFICER – ATHER ENERGY LIMITED
MR. MURALI SASHIDHARAN – HEAD OF PUBLIC RELATIONS & GOVT RELATIONS
-ATHER ENERGY LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Ather Energy Limited's Q2 and H1 FY 2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the pr esentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Murali Sashidharan from Ather Energy Limited. Thank you and over to you Mr. Murali.
Murali Sashidharan: Good morning everyone and welcome to Ather Energy Limited's Q2 FY 2026 earnings conference call. We have with us today Mr. Tarun Mehta, Executive Director and CEO and Mr. Sohil Parekh, CFO, Ather Energy Limited.
Before we begin, I would like to add that anything that the management might say on this call, which might be seen as forward -looking statements, may involve risks and uncertainties. Such statements or comments are not guaranteed by Ather Energy Limited a nd the actual results may differ from those statements.
Please note that, this conference is being recorded and all participants will be in listen -only mode. There will be an opportunity for you to ask questions after a brief overview by our management team.
So, let us begin and start with an overview from Mr. Tarun Mehta, Executive Director and CEO, Ather Energy Limited.
Tarun Mehta: Thanks, Murali. Good morning, folks. Q2 was a strong quarter for us. Units sold were up at 66,000 units, which is a 67% growth year -on-year and a 42% growth quarter -on-quarter. Total income fantastically was up at INR940 crores, our highest ever and up 57% year -on-year.
Adjusted gross margin on an absolute basis was INR210 crores and on a percentage basis was

22%, which is a 300 bps improvement year -on-year.
There was a one -time impact because of the rare earth supply crunch in Q2, wherein we had to change our supply chain and because of which the majority of vehicles in Q2 we have not filed for subsidy. So, there was an associated reduction in revenue and hen ce AGM. However, if you were to account for that, AGM actually grew materially this quarter. For example, without incentives, AGM was up at 21%, which is a 100 bps improvement quarter -on-quarter and a 900 bps improvement year -on-year.
Finally, overall EBITDA came in at lower than negative 10%. The first time we have touched single -digit EBITDA losses in any quarter. 1,100 bps improvement year -on-year and a strong 600 bps improvement quarter -on-quarter.

Market share actually in Q2, I think in some sense a little bit of an exceptional quarter. We saw the strongest gain in market share in recent times. Market share came in at 17.5%, 17.4%. Over the last six, seven quarters, our market share has been broadl y on an upswing. The first few quarters was largely Rizta -led improvement in market share. But the last three, four quarters has been largely a distribution -led expansion of our market share, which continues to pay dividends even as we speak.
On volumes in Q2, we were up 67% compared to the same quarter last year. More importantly, on an absolute basis, we added more volume in Q2 corresponding to Q2 last year than we did in Q1. In Q1, we added 23,000 units over the same quarter last year. In Q 2, we added almost 26,000 units.
So, very strong growth overall in Q2. All this has been on the back of an expanding distribution. We have been calling out that a large part of our growth in recent quarters has been distribution -led, and that is because we have been adding distribution, we have been adding new stores, particularly in new cities, and increasingly now also in same cities at a rapid pace. Q2 was no excep

tion, We added 78 stores, taking our total store count to 524, and keeping us on a strong path for our ambition of nearly 7 00 stores later this year.
When we began this distribution -led expansion, our South Indian stores were almost the same as non -South stores, maybe even higher. I will check the exact number. But they were quite comparable.
Over the last three, four quarters, we have added the majority of our stores in non -South with a particular focus on Middle India. So, Middle India is a strategy that we have been calling out for a while. Instead of us saying that all of non -South is a fo cus, we have chosen to focus in a big way in Middle India over the last few quarters, and that certainly paid strong dividends.
If you see a market share in Middle India, Middle India is, for everybody's recall, the states of Chhattisgarh, Gujarat, Maharashtra, Madhya Pradesh, Chhattisgarh, and Odisha, and a couple of union territories there. So, these five states have been a part icular focus for us in the last few quarters, from a distribution, marketing all perspectives. And the payout has been strong.
In Q2, we ended with 14.5% market share in Middle India, growing almost 10% from 4% in Q1 2025 to 14.5% in Q2 FY 2026, taking us to a fairly strong presence in all states. And honestly, we are still at early stages in many markets where our distribution i s still opening and there is a lot of headroom to grow for us.
Particular call -outs in these states, Gujarat, we have been consistently doing 20%, 25% market share now, cementing us a very strong player there. Maharashtra, we have now started to do almost 15%, market share. In fact, in October, we were, I think, at al most 16%, 17% market share. MP has been an outstanding story for us, from something like 300, 400 units just about a year, year and a half back. Now, we are starting to see more than 2,000 units a month. In Q2, we ended with more than 10% market share. And if you see our October performance on VAHAN, you will see we are almost doing mid -teens performance in Madhya Pradesh.

Madhya Pradesh also deserves special mention because of not just our market share gains, but also it's compounded, because of how fast MP is itself growing as an EV market. MP has been one of the fastest -growing EV markets in recent quarters, making it a particularly big focus for us in Middle India.
On Rest of India, while obviously Middle India was our largest strategic focus and has been for

the last few quarters. Rest of India, we have been a bit more targeted. But those targeted efforts have been also paying out. Q2 was the first time we have hit 10% market share in Rest of India together. October was, I think, even better performance.

And this 10% has come with some really strong performance in specific states. For example, in Jammu and Kashmir, we have gone from number two, number three to now number one, with more than 40% market share.

In Punjab, we have now entered 12 -13% market share. In fact, we have become market leaders in places like Amritsar. Rajasthan has been another fantastic story. Frankly, even I didn't think it will grow so rapidly. In fact, Rajasthan is rapidly becoming o ne of our key focus areas in Rest of India now, with Q2 performance at 13% market share, with us showing really strong traction in places like Jodhpur, Kota, Bikaner, many other places.

With all this, South India has not been lacking attention. We have been calling out that while distribution expansion is more focused in non -South states, South India will also continue to expand and it has. Q2, we have hit 25% market share, becoming numb er one in all of South zone once again. I know this is Q3, but still want to call out, in October, we were number one in every single state in all of South, making this I think, the first time we have achieved so.

So, South India contin

ues to expand. And this is happening because we still have had pockets where Ather's distribution hadn't reached, which we are continuing to open up. Particularly in South, Density, which is most stores in the same city, is opening u p as a fantastic expansion opportunity now, particularly in the states of Telangana, Karnataka and Kerala, where we are able to go quite deep now and the market is really opening up.

Coming to financial performance, adjusted gross margin for H1 came in at 23%, 20% if you look at without any incentives. Overall, COGS saw a good reduction. If you look at Q4 in isolation, as I called out, AGM was at 22%, 21% without incentives.

There was roughly, I would think, about a INR20 crores subsidy that we haven't filed for in Q2. We expect this to be a one -time hit as the issue was resolved through the course of Q2. So, we don't expect this to repeat in Q3, making us reasonably confiden t about AGM in the coming quarters also.

All of this AGM expansion and volume expansion has played out beautifully in EBITDA. EBITDA for H1 came in at negative 12%, but if you see Q2 particularly, Q2 came in at less than 10%, about a INR90 crores loss. Even here, the rare earth hit was almost ab out INR20 -25 crores overall. So EBITDA has come in strong. Obviously, there's still some more work to do, but

operating leverage is coming in -- is playing out well at these scales now. This was an 1,100 bps improvement over same quarter last year.

Q2 also saw us starting to ratchet up our marketing and sales spend in the buildup to festive. Particularly -- particular call -outs on marketing were some of our integrations. For example, we have had a strong integration with Taarak Mehta Ka Ooltah Chash mah and Siragadikka Aasai in Tamil Nadu. Both of those integrations have been very well received, and we are very bullish about how -- particularly with Rizta, we've been able to really go mainstream with some of our marketing efforts in Q2. We've also see n some integrations in movies like Param Sundari and others, and all of these are landing really well for us.

On new product launches in Q2, we've had a gap in our portfolio for a while now. We've -- if you were to think of a portfolio with two axis, one is technology and other is range, we've had three out of those four quadrants covered well between 450 and Riz ta, which is we have had enough technology options, and we have had high range and low -range options. But one quadrant, which is low -tech, high range, this was a gap in our portfolio for a long while. We finally filled that gap up. We finally filled that g ap up with the introduction of low -range models on 450S and Rizta S, sorry, the high -range options on 450S and Rizta S with about 160 kilometers of range each. This has been well received. We are seeing good demand, and we are seeing very little to no cann ibalization of the higher technology models with this. This is helping us expand our sales and our market share in many markets.

In Q2, we also launched Battery as a Service, BaaS, which allowed us to reduce our upfront price of Rizta S to as low as INR76,000. This is an important top -of-the-funnel introduction. And while the actual attach rates are still emerging, we expect this t o continue supporting our marketing efforts on making and landing Rizta as a more mainstream product across the country.

Q2, we also had our annual Ather Community Day. This has become our flagship launch event every year now. This time, we had almost 4,500 people in attendance. We launched our new generation fast charging, which was almost 2x faster. We unveiled AtherStack 7.0, our latest generation of software.

And more importantly, we unveiled EL platform, our new generation scooter platform. EL is a more versatile scooter platform with focus -- with a big focus on safety and convenience. And from an operation

s perspective, this is designed for scalability and a better cost structure compared to 450 and Rizta today.

We also unveiled the first form factor, the first concept vehicle on EL, something that's shaping up incredibly well for a launch next year. EL is going to bring to the market Ather's first 14 -inch wheel in scooters. We are also launching Ather Charge Driv e Controller, AC/DC, which is our integrated charger and motor controller module, something that simplifies service, simplifies assembly and more importantly, brings cost down considerably.

From a customer's perspective, Ather Charge Drive Controller will also unlock onboard charging, reducing the portable charger massively in terms of size and weight, making it a big convenience upgrade with in -- with our EL portfolio. EL is also going to launch with Advanced

Electronic Braking System, AEBS, which is our proprietary braking technology. This mimics ABS -like performance in many scenarios at a very, very, very, very low cost structure overall.

On AtherStack 7.0, I think this was our best launch and best launch for our stack till date. Many very, very viral features, particularly pothole alerts, which I think got picked up by media and consumers alike incredibly well. Crash alerts, voice on the Ather. I think with AtherStack 7.0, we were able to finally bring the entire power of our ecosystem together incredibly well, the vehicle software, our algorithms, the vehicle, our helmet, chargers, everything coming together incredibly well as a very tigh t package. On the business front, this entire suite continues to pay again strong dividends with an attach rate of 89% for customers for AtherStack and a 12% contribution for non -vehicle revenue.

On charging, we launched our fastest charger yet. This is a 6 -kilowatt charger, 2x faster than our current fast charger at a considerably smaller size and a better cost structure. Our fast chargers are up at almost 4,300 points across the country, making this a very important part of our entire value proposition to our customers.

A big focus for us recently has been in enabling intercity rights, for example, between Mumbai - Pune or Bengaluru -Mysore or Chennai -Pondicherry, with our fast charging really going deep on connecting customers on these routes.

With that, at the end of my session, just to summarize Q2 FY 2026, total income up considerably at INR940 crores, Pan -India market share of 17.4%, experience centres up at 524 centres across the country, adjusted gross margin up at 22%, EBITDA losses have come down t o sub 10 %, market leadership in South India, new variants launched, BaaS launched, EL platform unveiled for scheduled launch for next year and a strong reception to Ather Stack 7.0, which is going live over the next few months.

With that, folks, I'm done. Thank you for your patience. Look forward to your questions now.

Moderator: Thank you very much. We will now begin the question and answer session. Any one who wishes to ask a question may press star and one on the touch -tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participant s are requested to use handsets while asking a question. Ladies and Gentlemen we will wait for a moment while the question queue assembles. The first question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Yes. Hi. Good morning, Tarun, and congratulations. I think great to see that market share is improving across the country. My first question is on the network expansion that you have been doing. How do you see the ASPs and the attached rates in the new re gions that you are going to because that would be more in the interiors?

And also, a lot of stores probably closer to 160 stores you have added in the last six months. So how much time does it take for those stores to mature?

Because -- are you getting optimum volumes here or should we expect further gains on account of that as well?

Tarun Mehta: Great. Thanks, Kapil. Thanks for the question. So -- as we have been adding these new stores, this was a little bit of a new territory for us also because the last three quarters have been terrific store expansion, something that we have not really taken o n in our previous years. Fascinatingly, though, our ASPs have been extremely steady. I think the customer landed price, ex -showroom average of vehicle plus pro pack, is probably within a few hundred rupees over the last several quarters now.

And I'll be honest, I think that was a bit of a surprise to some of us also. And it's not just, oh, you know, like some states canceling out other states. Even newer zones like Madhya Pradesh, Rajasthan, Gujarat, Uttar Pradesh are holding up the ASPs incr edibly well despite massive introduction of new stores in these zones, which is actually very positive because what we are seeing is that the older stores are starting to grow their ASPs.

So let me just step back and give you a sense of what we are seeing internally as store growth. When a new store opens up for Ather, in the early few months, we see that given that we obviously we have a more premium product portfolio available, in the ea rly months, we see often sales teams initially only having the courage to frankly sell the more entry -level models. And hence, ASPs are more modest. But as the months start rolling by and there is a better word of mouth in those zones, in those districts, ASPs start inching up because maybe a mix of consumer pull and also dealers starting to realize that it's not actually that crazy to sell our more higher -priced variants.

So the first growth that we see typically within six, eight months is ASPs for the store growing up. This is followed by Pro Pack – sorry, the first growth that we see is actually Pro Pack attached rate going up. Sorry, I mixed up the order there. So even if the lower -end variants sell, very quickly within literally a few months, our dealers realize that the ability to sell software is pretty high. And there's a massive pull for the Pro Pack in almost every geography that we go to, including new geographies .

So very quickly, while new zones might open up at 40 -50% attached rate, within literally quarters, they start inching up to 70% -75% attached rate. For example, in Madhya Pradesh, we have seen a very similar trend starting at 45% -50% attached rate. Now, Ma dhya Pradesh is showing consistently 70% -75% attached rates for Pro Pack, which is fantastic. So the first thing that goes up is Pro Pack attached rate for us.

Next thing that goes up is the ASP of the base vehicle itself as the confidence goes up to sell more and more higher -end variants. And finally, what we see once stores stabilize, typically around one -- one and a half -year mark, is accessory attached rate go up.

So for example, Gujarat is a reasonably stable market for us from a distribution perspective now. Distribution expansion kind of reached a steady state about a few quarters back. In the last three, four quarters, we have seen accessory attached rates in G ujarat go up as much as 60% -75%, while newer stores are obviously not that focused on accessories right now.

So, this is like a three -tier opportunity. New stores will first grow their Pro Packs, followed by base vehicle attached, base vehicle ASPs, then finally accessories, and eventually over a few

years' time, service revenues. But in general, we have seen very, very steady ASPs that you can also see in the numbers. If you account for the subsidy math here, you will see our ASPs are very, very solid right now.

Kapil Singh: Okay, great. And just on the new stores, I mean, I'd also wan

ted to check, like how much time does it take for the stores to mature? What are your observations on the dealer profitability in these new stores? Are you finding interest from new dealers in n ew locations to expand? Just some color on that?

Tarun Mehta: Very strong dealer pull. We are largely preferring our existing partners, because it allows ease of expansion, and frankly, we want them to become larger and larger partners with our business. But very strong pull from almost every geo. Very, very few sta tes where we would have a challenge. Almost like Pan India, there's a strong pull.

Dealer profitability is at a good place now. Typically, we are seeing new stores stabilize in three to four quarters. I would say, again, depends a lot on the exact city, the exact variant mix, but I would say a few quarters, three, four quarters is a reas onable estimate for dealer profitability currently. So it's a pretty rapid timeline. All of this has been driven by EC 2.0 and EC 3.0, our new format stores, which have been the primary driver of our distribution expansion the last one, one and a half yea rs. These format stores have allowed very good profitability and hence a very strong pull from dealers overall.

Kapil Singh: So Tarun and lastly, just want to check on the cost side. We have seen some drop this quarter on the cost per vehicle, and we can see the potential of EL, but if you could articulate on the existing platform as well, what are the other areas where you are looking to reduce costs and how much is the potential over there?

Tarun Mehta: Right. So I think cost did come down by, I think overall underlying gross margins have improved by 100 -150 bps this quarter, accounting for subsidy. I think part of that has been the increasing attach – share of business of LFP batteries, but also constan t cost reduction by R&D.
Teams for us, and we have been calling this out forever, that while scale plays one set of roles, scale largely gives us operating leverage for our fixed costs. Most of our cost reduction has been driven by very strong engineering efforts. I expect that t rend to continue all the way till actually EL launches.
Obviously, EL is a step change in our cost structures, and there will be a much stronger improvement of gross margin. But even on 450 and Rizta, we are seeing strong cost reduction continuously. This is despite a small change of forex in Q2. Despite that, we are seeing a good improvement of underlying cost structures.
Kapil Singh: Okay. Thank you. I'll come back in the queue.
Moderator: Thank you very much. The next question is from the line of Chirag Jain from Emkay Global. Please go ahead.

Chirag Jain: Yeah. Hi. Good morning, Tarun, and thanks for the opportunity. Tarun just wanted to get a sense in terms of how’s been the festive season and probably in terms of retails, if you want to share some thoughts, channel inventory? And particularly from the sup ply side standpoint, I think the new plant is coming a bit delayed by two, three months. So, how are we placed from a capacity standpoint till the time the new plant comes up?
Tarun Mehta: Yeah. Thanks, Chirag. So, festive was very strong. Honestly, we are all scrambling around to ensure that we can keep raising the capacity, particularly on the supplier ends. I think recent months have been the first few months where the retail has been ou tstripping wholesale by a considerable margin, and we are working hard to fill that gap up. While that presents a lot of operational work for us, but I think obviously that's a very strong sign for the business.
It underlines a very strong demand across zones. You saw Vahan numbers in October. You saw more than 30,000 registrations for us, which is at almost a 50% growth over last year, and I can tell you we were – we were stocked out. We were stocked out in, I t hink, almost ever

y single
EC, ending with a fairly slim channel inventory.
I'm hopeful that over the next few quarters we'll improve this, but this is a very strong underlying demand sign for us. On the new plant, there was, I think, a two, three -month delay because of the delay in obtaining environment clearances, but that's be hind us. Work has begun in full swing. To ensure that EL does not struggle because of the delay of the new plant, we have a plan of commencing EL production out of Hosur itself as an early measure to protect EL timelines, and to ensure that from a customer perspective and a market perspective, we don't really miss a step there. So I don't foresee any volume impact because of this, and this, I think, gives us – I think overall Auric will come well on time for the overall ramp -up of EL.
Chirag Jain: Understood. Thank you. Next question is on EBITDA performance. Well, obviously, we have seen major improvement in terms of EBITDA performance, but one of the incumbent two - wheeler OEM did mentioned that they have reached EBITDA neutral in terms of their t wo- wheeler business. So where are the gaps between, let's say, an incumbent versus us in terms of cost structure? Is it because of the shared resources on manufacturing, distribution is where they have advantage as of now at this scale, and pro bably we might see major advantage? I mean, any thoughts on that, if you were to share?
Tarun Mehta: Yes. So, I think the biggest difference is our P&L is a completely clean P&L. We have no mix happening between, like there is no sharing of resources, there is no – like, you can't switch, you can't mix incentives, you can't mix pricing, you can't mix cost structures. So what you are seeing here is a pure, clean P&L overall for electric, free of – and largely, we are also discussing a P&L without additional incentives like PLI and others.
What you are seeing is very strong gross margins that continue to compound, very strong ability to make margins out of software that will continue to compound. Overall, cost structures are quite well. EBITDA came in at negative 10%, and I think that was al so full quarter average. Obviously, with increasing volume through the course of the quarter, EBITDA performance has been strong.

So I am feeling good about where we are headed on overall profitability without a specific guidance for when. I personally feel this is one of the better cost structures in the industry on fixed costs, but it's obviously hard for people to see that becaus e ours is one of those few P&Ls that is pure electric and is not mixed up in any possible way. So, yeah, so I would say I am feeling good about our overall cost structures, and obviously, you have seen the improvement this quarter.

Chirag Jain: Yeah. Thank you. Thank you so much, Tarun. I will come back.

Tarun Mehta: Thanks, Chirag. Yes.

Moderator: Thank you very much. The next question is from the line of Vipul Agrawal from HSBC. Please go ahead.

Vipul Agrawal: Yeah. Hi. Thank you for taking my question. Sir, first question is on the gross margin trajectory, like now the PM E -DRIVE will go away in April, and two new margins now look like the more realistic margins. So what will be the gross margin triggers going forward like if you can pinpoint some key improvement areas on the existing platform would be really helpful?

Tarun Mehta: Yeah. So on the revenue front, we expect as stores stabilize for our ASPs to hold up well, maybe even a minor improvement in some geos. We expect our accessory attach rates to continue improving. Again, we are looking – I am looking at our mature states ve rsus our newly emerging states. There is a – There is a good opportunity on accessory attach rates and the trend signs are extremely positive for us to be very confident about them. Service revenues will continue compounding and ma

rgins from t here will continue compounding.

So I think over the next one year as we go through the final set of subsidy removal, there are a lot of positive tailwinds on the revenue front, even before EL comes in, by the way, and this is at unit economics. Now, on the cost front – variable cost fro nt, we have seen strong improvements in warranty costs.

We have seen strong improvements in bill of materials. LFP obviously is a continuous trigger that continues to pay off and I think even in Q3 you will see dividends out of it. You will see constant cost reduction paying out particularly on the Rizta portf olio but also a little bit on the 450 portfolio. We have seen very good success with our ability to raise prices in our strong markets, particularly 450 in the recent quarters, we have seen very strong traction.

In fact, even now we have been able to undertake constant price hikes with – with good response from the market. So, overall the upcoming subsidy removal, in fact, this quarter was largely a nearly very limited subsidy quarter. So, I think what you are se eing here is probably a very strong sign of things to come.

So, for me, the April subsidy removal is probably no longer a big call -out or a big concern. I think our business is very well set up to absorb that. Yes, that's I think overall.

Software continues to be obviously a positive news for all of us, I want to call it a positive surprise but this is our third public conference call. So, it would probably not be fair for me to say we are surprised but we still are surprised at 89% attache d rates. So, and I am hoping this will stay in somewhere this zone for some more time.

Vipul Agrawal: That’s was actually important software attachment, it’s pretty strong. And second question is on the Battery as a Service like what was the share of that product in total sales so far and how many customers are opting for buyback option like would you off er like three years guarantee buyback or three and five years?

Tarun Mehta: Okay. So, both BaaS and buyback is largely a top of the funnel activation for us. You know, where the industry right now is we have a lot of the consumers already coming in, who, I wouldn't call them early adopters.

We are definitely beyond that phase with almost 15% -20% of the scooter market buying electric, but let's say, the early majority. I think a lot of the early majority and specifically the 125cc buyers are already very positively looking at electric and buyi ng it in reasonable attached rates, reasonable penetration.

Now, we are starting to deal with a lot of the mainstream market which would be buying the 110cc scooters and some of the 125cc scooter customers. For a lot of these consumers, the problem is not the logic. I think the logical argument for buying electric scooter is just astoundingly strong.

The batteries are lasting 8, 9, 10 years. Like we, our oldest batteries are now almost 7 -8 years in the field and they are still holding well. Obviously, the newer generation batteries will last longer. The running cost is incredibly low. The overall serv icing cost has come to a great place. Distribution is good. So, a lot of the logical reasons are there.

But we are now increasingly dealing with a customer who is not worried about the logic. They

are worried about the social proof of buying an electric. They are more afraid about things that they don't know. What will be the resale price? What will happen to a battery? They have heard rumors that battery is like 70 -80,000 rupees and if battery goes off in 1 -2 years, everything will go for a toss.
So, our focus, even in our marketing, with the Ather Advantage campaign, which is "Jyada mat socho, Ather lelo", incredibly focused on this. And the launch of BaaS and the launch of the buyback program has been squarely aimed at giving comfort to these cu stome

rs. Honestly, I
have been never expecting a lot of customers to opt for buyback. I don't think they will need the buyback. But I think just knowing that the brand is able to promise a – the brand and its ecosystem is able to promise a 50% -60% resale v alue after 3 -4 years is a very strong signal for the incoming customer.
We had a similar lever with the 8 -year battery warranty, which has always been a buyable product. But Consistent India dealers and channels have given us feedback that don't worry about

the cost of it. Just the fact that the OEM is willing to offer a 70% range guarantee after 8 years is a very strong signal for some of the mainstream consumers.
Similarly, BaaS and this plays the same role. Their attached rates are low. I would say they are like low single digits. But that is not their primary agenda. They are there in our portfolio to give comfort to customers. Hopefully, the attached rates will go up. But I think they played the role that they were intended to.
Vipul Agrawal: Can you partially answer my next question as well. Since we are targeting 110cc to 125 cc customers, so maybe apart from scooters segment what – if you can give some idea like how many motorcycles customer are now opting for EV like maybe, some entry -level customers, or maybe 125cc customers who would have bought a motorcycle are buying scooter, is there any kind of analysis you might have done at your end, maybe, that will help us to understand how are we looking at the penetration in the lo nger term?
Tarun Mehta: I think motorcycles continue to bleed customers to scooters on – in general, which is why scooter – I think scooter penetration is almost nearly 40% now in the two -wheeler market. But I would still hesitate to say that electric is particularly pulling thos e consumers from bikes to scooters yet. I think that's likely a factor that will play out, but it's still at a fairly early stage right now.
I think largely what we are getting are overwhelmingly the 125cc customer base moving to electric. And now some of the 110cc customers are starting to switch. But I would say the motorcycle transition is still a small story that's not a big part of the st ory yet.
Vipul Agrawal: Thank you. That's all from my side.
Moderator: Thank you. The next question is from the line of Amyn Pirani from JP Morgan. Please go ahead.
Amyn Pirani: Yes. Hi, Tarun. Thanks for the opportunity.
Tarun Mehta: Hi, Amyn.
Amyn Pirani: Hi. So most of the questions have been answered. But my question was on the growth that you're showing, obviously, there has been a very significant expansion of market share. Even though the EV market growth is still there, but hasn't been like great in terms of penetration growth in the last, say, I would say 8 to 10 months.
So do you think that this is just a temporary phenomenon because of rare earth and maybe other issues? Or like how should we think about the overall industry growth, because at some point of time, since you're already number one in south, you're gaining ma rket share, your growth will also be a function of the figure. So any thoughts there?
Tarun Mehta: Thanks, Amyn. So, obviously, that's an important question for our industry. Now, this is my perspective, I think last two months, in fact, I think nobody's asked me this, but GST on petrol was decreased by 10%. I think that should have been a really scary moment for our industry. I think we should have been seeing crazy discounting on electric portfolio, we should have been seeing a serious volume drop. You haven't seen that.

Actually, October was a material growth over last October. September was also actually, underlying September was also strong. Demand continues to hold up well. And I can tell you, most players are actually having supply crunch.

Obviously, a double factor of there is some
growth, but also the rare earth crisis.
I think despite a GST change, despite the rare earth crisis, the industry's delivered growth, I think the underlying demand is strong. It just is going to be visible in the coming quarters. But beyond that, there is one or two more stories to describe her e.
There are some of these more mature markets, like let's say Tamil Nadu, Telangana, Andhra Pradesh, where obviously EV penetration has been healthy, even Rajasthan actually, where EV scooter penetration has been already quite healthy. There we are seeing m oderate to no growth in recent quarters. Now, that’s not because – that's largely because of the change of the target customer base. If you've already gotten 20%, 25% of the scooter buyers, you're now switching target to a more mainstream buyer. And there is a new PMF, new product market fit that is emerging, which is why our marketing story narrative, everything is changing.
We are seeing in our marketing research every quarter, a very strong growth in awareness, interest and intent to buy electric. But we are also seeing that a lot of the consumers are at the fence waiting. I think in many of these markets, the switch to the mainstream consumers buying electric will be very sudden and very rapid. And when that happens, that will present a very strong growth opportunity.
But in the meantime, there are obviously very strong growth markets for electric, which is also where our focus is now starting to switch to. For example, Madhya Pradesh, almost 50%, 60% growth in the last few quarters; Bihar, Punjab, they've grown incred ibly well. Even Karnataka somehow has grown almost 17%, 20%, which is beating the trend in southern states overall. Even in Kerala – So this is one part where some markets are growing really well. We continue to – we are now starting to switch our focus there. In some markets, like Kerala, I think existing players like ourselves are now starting to grow the existing ma rket. Kerala, obviously, has a strong E two wheeler market. Even Kerala grew 30% in the last few quarters.
Now that's happening because players like ourselves are doing specific efforts. We are doing targeted marketing. We are expanding our distribution well. So I think it is possible and it is certainly happening where players like us are now starting to pick up specific markets and grow them. There are clear markets that are growing really fast. There are some markets which have now sort of stopped growing, as I called out, like AP, Telangana, Maharashtra, where EV penetration is probably already at a healthy pace.
But I don't think this is a genuine wall here. I think this basically means we are undergoing a transition and as our product portfolio evolves for the next set of customers, as our marketing evolves for the next set of customers, I think strong growth wi ll restart in these markets also.
And on top of all of this, what I said at the start, what I think we should still not discount is that despite the rare earth crisis and despite the GST change, our industry is showing quite a strong bit of resilience and will grow.

There is one last point that I also want to highlight. I think when we look at the growth over the last four to six quarters, we often look at early half of, let's say, calendar '24 and we wonder that the industry only seems to have grown so much. But I a lso want to call out that a lot of the volume happening in those quarters was happening below the INR1 lakh segment.
Now, I think the sub INR1 lakh category has a role to play in the industry. I don't think it's not a market. But I think the kind of volume that we were seeing out of that segment in those quarters was not strictly fundamental. I think a lot of it was lik e sort of pushed growth as opposed to real organic growth. And we have seen very

strong signs of a lot of that market shrinking as the entire
industry is starting to migrate. That's most of the industry is starting to migrate in to beyond INR1 lakh price p oints.
If you see the growth of the north of INR1 lakh segment, that's been very, very powerful. And that probably fits in very well with the narrative of electric two wheeler growth that you would want to see. So, some of this is also colored because those sub INR1 lakh segment grew artificially a little bit in that timeline. Some of those consumers have pulled back and disappeared because honestly, I don't think there were real EV consumers in this timeline. But the real EV consumers above INR1 lakh continue to grow really well.
Amyn Pirani: That's very helpful. Secondly, just an update. It's good to know that you're already preparing for your own version of an ABS. Any updates from the government side as to you know what are they thinking about the Jan 2026 deadline you know that they had in itially talked about for ABS across all 2 -wheelers?
Tarun Mehta: See, I think, obviously, this is a much larger conversation with the government. Ather is supportive of a focus on safety in 2 wheelers. We do think this is a topic that's not discussed enough. And I think should increasingly becoming a big part of the narrativ e and the

conversation. I think India moves on 2 wheelers. So, safety is paramount here.
We are also, however, having said that, not a big fan of mandating things. I think a lot of these things should happen organically. I think consumers will and are demanding more and more safety. You saw our EL launch. We had a big focus on safety. We anno unced the electronic advanced braking system. We announced a lot of features there, even in AtherStack 7. I think the market will reward better safety products. Personally, I'm not a big fan of mandating it.
But it's a much larger industry conversation. If ABS is mandated, I think we will obviously prepare for it. Particularly for us, almost our entire portfolio has front disc brake. So, some of the cost that would increase because of ABS is not a challenge. Limiting our cost increase only to the ABS module. And we are also developing systems like the advanced electronic braking systems. Hopefully, a mix of these will limit the impact on our business, if at all.
Amyn Pirani: Great. That's good to know. I'll come back in the queue.
Moderator: Thank you very much. The next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Yes. Hi. Thanks for taking my questions. Thanks, Tarun, for sharing the insights on consumer behavior. I'm going to just push you to share a little bit more on this. You know, you've seen a journey over the last few years. What do you think the buyer deci sion-making hinges on? Because when the industry started off, it was all about TCO, TCO, TCO. But by the look of it, it feels like it's not TCO. It's a lot beyond TCO when they're looking at these e -scooters. So what are the top two or thr ee things that customers come and ask on the showroom?
And second is a little bit more color on how do you see a Karnataka, which is a mature scooter market, different from an MP? When these – Is it the different models that the customer is looking at? A little bit more color on how the two markets, let's say , are evolving, Karnataka versus a relatively more nascent MP market?
Tarun Mehta: Hey, thanks, Gunjan, for the question. On the first question, that's actually part of the big narrative that we've been trying to land. We've always been a big believer that electric is going to be ultimately driven by product and aspiration as opposed to total cost of ownership.
Total cost of ownership, I think, is a post -purchase rationalization. I think electric first needs to win you at the product stage itself. And when tha

t happens, you will go back to your family and you will tell them, you know what, petrol will cost me so much more. It's like two, three rupees a liter -- two, three rupees a kilometer. This is nothing. There's like INR0.20, INR0.30. You will give all those arguments. You will feel nice about having made the better choice because it's also logically very str ong.
But we at Ather have been always strong believers that I don't think TCO has been the primary driver. I think it was the primary driver many years ago, like in the second wave or first wave of electric vehicles, when we saw all the low -speed electric vehi cles dominate the horizon, I think, yes, at that point, TCO was the primary reason.
But when the switch happened to targeting the mainstream consumer market, I think electric has been first and foremost been driven by the appeal and the better product experience and then logically defended by all these arguments.
And I think that is what is driving growth. Even now, when a lot of brands are growing, they're growing on the back of very good, stable products, better experiences and I think that remains true. On markets like Karnataka and MP, obviously MP is a new ma rket for us. So, obviously, our more lower end portfolio will dominate sales there. What's exciting is how the Pro Pack attach rates are starting to look very similar between a super mature market like Karnataka and even MP right now. Like literally, the P ro Pack attach rate delta would be like 10%, 15% now, which is quite outstanding.
Even on ASPs of the base vehicle itself, we are seeing all these signs. For example, I'll call out, like, in our experience, the more mature our dealer is, the more vintage our dealer has, the more likely that they will be able to sell our more higher end products.
We see this trend play out even in a market like Uttar Pradesh, where some of our older dealers are able to sell even 450 in quite a decent proportion, and not just the higher end of Riztas. So,

I think there is vintage that plays a substantial role. Obviously, the big difference, however,

between Karnataka and MP is Karnataka is an equal 450 and Rizta market. MP is predominantly a Rizta market, which probably is also down to the social preference s in these markets.
Gunjan Prithyani: Got it. And just -- I think your dealer being able to sell Pro Pack etc. much more is just the confidence when initially you're just trying to get the numbers and later on you get confidence around the business model as well.
But just on Pro Pack that you -- there's so much data that you collect through this. What is the feature that customers really value because there are so many features that a Pro Pack brings along with it, I'm just understanding what is really a functiona l -- utility features that consumer -- that buyers are using when you analyze the data? Or anything that you can share when you look at the Pro Pack data over the last couple of years?
Tarun Mehta: So, let me just think, for us, many of our vehicle software -- vehicle features, for example, like AutoHold, Magic Twist, they are big crowd favorites. The heavily used features would include navigation. I think navigation, the early years, for us was a bi t of a tough nut to crack. We had a good product, but we were still fixing -- catching up on the hardware, we were still getting the story out.
Navigation now sees good usage, particularly location -based services, like Vehicle Tracking, Live Location Sharing, they're seeing very strong traction. Actually Live Location Sharing is seeing several thousand real triggers, we remove the accidental trig gers and then check for it. Live Location Sharing is seeing several thousand triggers every day.
Particularly again, as a top of the funnel metric, these are playing very strong roles in many relevant markets where in markets where safety

is critical. A lot of these features are coming together incredibly well to land the point of safety.
So you've got crash alerts, you've got crash detection, you've got live location sharing, you are talking about theft and tow detection, skid control. These set of features together paint a very strong safety suite of features to the end consumer. And in relevant markets, they are seeing very strong traction. Our channel checks reveal that you know dealers are very happy to sell this as the primary reason to buy the Pro Pack.
Then there are some markets where value is more prioritized and value I say, like how much value you get out of the product. That is places where things like the kind of range you get, ability to see the accurate range, convenience, navigation, WhatsApp a lerts on dashboard, they are really prioritized in sale.
So there are two, three different kind of markets here. In terms of absolute usage, I would say the vehicle software features like auto hold, magic twist, were really dominant in addition to maps and other safety features.
Finally, I think we are very, very, very bullish about our upcoming introductions, which we have already announced around pothole detection and pothole alert, sorry, and safe parking, which is

predicting where tow zones are. I think, I'm really optimistic about this coupled with our voice to become a big crowd favorite over the next one to one and a half years.
Gunjan Prithyani: Got it. Just last question on the margins, I think you did allude to, you're happy at the place we are in direction it's heading. But if I were to like sort of think through the next two years, how do you see the business getting to EBITDA positive zone i n next two, three years?
I mean, if you can just sort of give us a few drivers to bear in mind, is it going to be a bit more on the cost platform when EL platform comes? And what do we think from a scale perspective? Because you know, the scale has been growing, I mean, 60%, 70% growth Y -on-Y is a massive number. So, at what scale we think that you know, this is a place to be a good place to be where the business can sort of have the operating leverage benefits as well?
Tarun Mehta: Yes, I think the current portfolio should be strong enough to take us to a sustainable basis standalone. To us internally, EL always has been the product that drives future growth, as opposed to a product that we desperately need to get to break even or su stainability. And that continues.
In fact, if anything, that has become an even stronger truth, given recent quarters performance. So that's how I would see our that that's how I would describe our timeline, our direction of profitability. Basically, what I'm saying is operating leverage should be strong enough over the over the coming few quarters to take us to a sustainable place.
Even a gross margins, one thing you will see in a P&L is that, we've been extremely disciplined, almost paranoid about adding fixed costs or adding capex that could drag down our profitability. So the gap between gross margin to EBITDA is actually quite low for us at this scale. And as a pure-play EV player, we haven 't added cost of our own stores, our own insurance, our own logistics on that front, we haven't added costs of too much vertical integration.

So, I think we've kept a reasonably lean P&L. And hence our margins, our gross margins give a much better payoff at an EBITDA and PAT level than many other P&Ls. And yes, I think obviously yield should be a significant step up that coupled with the new fa ctory in Aurangabad, should really elevate volumes and margins quite a lot over the next couple of years.
I think the EV business should be able to command, -- I believe it should be able to command as much or even a little better gross margin than the ICE portfolios could, because of the ability

to upsell a lot of things with EVs, particularly around the sof tware and the accessory front. So I remain very bullish about EV gross margins as an industry over the next few years.
Gunjan Prithyani: And how does LFP fit in here? Sorry, I'm just squeezing one more question because is that something that you sort of think help from a profitability perspective or, your thoughts on where we are heading on the LFP?
Tarun Mehta: So obviously, LFP has supported our profitability, has supported our margins. We introduced that in at the end of Q1. In Q2, that's become a reasonable part of our product mix and will continue to increase for another quarter or two. And that's definitely helping margins. But LFP

also plays a dual role in our portfolio. For us, de -risking our supply chain and hedging is a very important topic. We want to de -risk our supply chain from a technology perspective, from a partner perspective, from a geography perspective. And hence LFP p lays that role. So it's not just a cost improvement. It also allows us to ensure that we have both technologies coming often from two different geographies, multiple vendors in our mix. So we are better prepared for what seems to be an increasingly very vo latile world.
Gunjan Prithyani: Okay, got it. Thank you so much.
Moderator: Thank you very much. The next question is in the line of Pramod Kumar from UBS. Please go ahead.
Pramod Kumar: Yes, thanks a lot for the opportunity. Tarun, my question is on the industry side. You in a way spoke about it, but just wanted to understand now that the GST cut is behind and you've seen that demand has not got impacted so much.
How would you kind of characterize the industry growth for next year? Because this year, has been marred by supply chain constraints as well. The reason I'm asking this is like there've been multiple launches across the industry, ramp up of network by you and others.
The EV reaches improved dramatically year on year, but the share is kind of stagnant at, under 6%. So I'm just trying to understand, do we expect uptrend anytime soon where the inflection point comes for EV demand, which can make this category more broad based? Just wanted to hear your thoughts on this?
Tarun Mehta: Yes, so Pramod, I am in the near term, that's the next couple of quarters, very bullish on industry growth. Again, you'll have to look at state -by-state. On average, the picture will be complex. But states that I'm bullish on are MP, Punjab, Bihar, Kerala, maybe even Rajasthan, though Rajasthan has been a little bit of a slow growing state recently, but I'm in the short -term confident about these four, five states.
The other states I think are a little difficult to predict the exact timeline of, but the early signs of consumer interest and intent are very strong. So in the midterm, I would be very bullish on all the southern states, not just Kerala or Karnataka, but all the southern states.
And I would add Maharashtra and UP also to this list. With increasing penetration and particularly an increasing portfolio, I think the industry will maintain a good growth trajectory.
Again, if the industry has grown almost 15% -20%, with all these issues , I think the growth has to be a little better once the issues are behind us starting this quarter.
Pramod Kumar: So any growth number would you predict for next year? Can we do double digit next year? Or rather, let me put it this way. What should be the EV multiplier over the overall dual industry growth rate? Is it going to be 1.5, 2x because its got impacted beca use of various issues in the last 12 months. But things settle now, the GST settles and ABS regulations come in, which I presume EVs can be in a better position because under the motor capacity, you need not have

ABS on an electric veh

icle. So given all this, do you expect where the multiplier to land for the
EV industry?
Tarun Mehta: So I think scooters grow at twice the pace of the two wheeler industry.
Pramod Kumar: Yes.
Tarun Mehta: And within scooters, I believe electric scooters will grow at 2x to 2.5x the growth of the overall scooter market. So that would be a compounding multiplier. So this would be about 4x to 5x faster than the overall two wheeler industry.
Pramod Kumar: Good to hear that, sir. So second question on the incentives, as an industry, we probably didn't have a great last two, three years in terms of where the category got identified, or kind of clubbed along with discounting as a perpetual, what do you say, o ffer given by most of the companies, which has also impacted residual values.
How are you seeing the incentives trend in the industry from yourself and across competition as well? Because that has a bearing on a lot of the customers' purchase decision process, right? Both in terms of as a demand trigger and at the same time, also so mething which kind of spoils the resale value for customers who bought it earlier. So how are you seeing the incentive trends in the category kind of evolving, sir?
Tarun Mehta: So Pramod, we've been very disciplined with the ASPs. If you were to model our ASPs from the P&Ls and also from the market data, you will see our consumer facing prices on average have been extremely stable despite introduction of Rizta, despite growth of its lower end portfolio.
And that's because on balance, we've been able to take relevant price hikes wherever appropriate and wherever market has allowed us, because market frankly has given us those opportunities in many zones.
So we've been very disciplined on our ASPs and our realizations. We've been never fans of discounting, frankly. I think we spent most of our roadshow during IPO telling people that do not think the discounting season will last, it will go away, it does not pay off.
And I think we've seen something very similar payoff happen over the last few quarters. I think the entire industry is now calling it out that discounting and selling really low price products does not seem to work, does not seem to get you the right cust omer anyways. I think the industry is getting better discipline.
And we are glad to see that because we've been always big fans of not discounting and keeping stable prices. Because as a new category, and you rightfully called it out, resale prices are massively impacted by any discounting action by the industry and th e OEMs. So never big fans of it. And I think we feel a little vindicated, a little validated, because the industry is kind of moved in the same direction now.
Pramod Kumar: Thanks a lot. I wish you all the best. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Murali Sashidharan for closing comments.
Murali Sashidharan: Thank you, everyone for joining us. This concludes our conference. So thank you and have a good week ahead.
Moderator: Thank you very much. On behalf of Ather Energy Limited, that concludes this conference.
Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Feb 2026

February 6 , 202 6
To
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, C -1, Block G,
Bandra Kurla Complex, Bandra (E), Mumbai 400051
NSE Symbol: ATHERENERG To
BSE Limited
1st Floor, Phiroze Jeejeebhoy Towers
Dalal Street Mumbai – 400001
Scrip Code: 544397
Dear Sir/ Madam,
Sub: Transcript of earnings call pertaining to the Unaudited Financial Results of the Company for the quarter and nine months ended December 31 , 2025
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in furtherance to our earlier letter dated February 02 , 202 6 on the audio recording of earnings call of the Company pertaining to the Unaudited Financial Results for the quarter and nine months ended December 31 , 2025, please find enclosed herewith the transcript of the said earnings call.
The said transcript is also available on the website of the Company at: https://www.atherenergy.com/investor -relations/financials
Kindly take the above information on record.
Thank you
For Ather Energy Limited
Puja Aggarwal
Company Secretary and Compliance officer
Membership no : A49310

"Ather Energy Limited
Q3 and 9M FY '26 Results Conference Call "
February 02 , 202 6

MANAGEMENT : MR. TARUN MEHTA – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – ATHER ENERGY LIMITED
MR. SOHIL PAREKH – CHIEF FINANCIAL OFFICER – ATHER ENERGY LIMITED
MR. MURALI SASHIDHARAN – HEAD OF PUBLIC AND GOVERNMENT RELATIONS – ATHER ENERGY LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Ather Energy Limited Q3 and 9M FY '26 Result s Conference Call. As a reminder, all participant line s will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.
I now hand the conference over to Mr. Murali Sashidharan , Head of Public and Government Relations at Ather Energy. Thank you and over to you, sir.
Murali Sashidharan: Thank you. Good evening, everyone, and welcome to Ather Energy Limited Q3 F Y '26 Earnings Conference Call. From the management team, we have with us today, Mr. Tarun Mehta, Executive Director and Chief Executive Officer, and Mr. Sohil Parekh , Chief Financial Officer.
Before we begin, let me draw your attention to the fact that today's discussions may include

certain forward -looking statements, which are predictions, projections, or other estimates about future events. These statements are subject to various risks and u ncertainties that may cause actual results to differ materially. Please note that this conference is being recorded.
With that, I would now request Mr. Tarun Mehta to share his opening remarks. Following that, we will open the forum for question and answer session.
Tarun Mehta: Thanks, Murali. Let me just get straight into the deck. Q3 was a particularly strong quarter for us. Units sold were 68,000, which was up 50% year -on-year. Total income was just shy of INR1,000 crores, up again 53% year -on-year. Adjusted gross margin was up 111% year -on-year and 19% quarter -on-quarter to INR251 crores, which is only about 25%, which at 25% itself is a 700 bps improvement year -on-year.
But the biggest story for us, frankly, was the EBITDA improvement. EBITDA improved by 1,600 bps year -on-year and 700 bps quarter -on-quarter to land up at negative 3 overall. So, very strong performance there. The primary driver for us in the last couple of quarters has been operating leverage, which has really been driven on the back of expanding demand, particularly expanding demand for Rizta .
Q3 was the time when we crossed 5 lakh units sold cumulatively ever, but Rizta crossed 2 lakh units sold within that. So, it has been growing really fast and driving sales across the entire country for us. A few highlights from Q3.
This was the first time we crossed 30,000 units registered and sold in a single month, which was the month of October, which also happened to be the highest ever market share we have achieved till now, which was with a comparatively still younger distribution footprint. This is certainly a fairly strong performance by our partners across the country.
Distribution has continued to expand pretty much in line with what we had guided. We closed Q3 with 600 stores open pan India and we are very much in line for opening 700 stores by the end of this fiscal. Overall, for Q3, we achieved 18.8% market share, 67,800 units wholesale , up 22,000 units over the same time last year.

In fact, our actual registration count and actual units sold were materially higher at almost 72,000 units and it was very efficient management of our channel inventory with our partners, which allowed us to reduce the channel inventory towards the end of the calendar year, which is why there is a considerably higher retail than actual wholesale, a benefit that should continue growing for the next few months.
Breaking down this sales growth , sales performance, let me start from middle India, which we have guided several times and has been the biggest focus of growth for us , over the last entire year. Q3 was a very strong quarte

r. We added almost 3% market share up from 14.6% to 17.4% market share. Gujarat is holding up really well. We achieved 25% market share.
Madhya Pradesh, Maharashtra, all are performing incredibly well. In fact, Maharashtra was a big positive delight. We jumped up to 18.6% market share in Q3, our strongest performance till date. I do believe that there is some more juice to go here in middle India as an entire geo for us and I am particularly excited about Odisha, where we have seen our market share roughly double from 8.5% to almost 15% market share in the last couple of quarte rs. I believe that Odisha, in addition to Maharashtra and Madhya Pradesh will continue contributing a lot in the coming months also.
Coming to rest of India, again, similar strong success, strong growth. Our market share was up at 12.6%. In fact, for rest of India, while obviously I am very bullish once we launch EL as a platform and its ensuing products, this kind of market share growth is extremely heartening with our existing portfolio itself. Very stro ng performance in J ammu & Kashmir , Punjab, Rajasthan — Rajasthan particularly. In fact, I would say places like Rajasthan and Punjab are starting to look like middle India markets for u s with 14%, 15%, 16% market shares there. We will continue investing in rest of India, particularly preparing for EL's launch with more stores and more marketing in the coming quarters also.
South, we have retained our leadership and we have defended our market share really well. Despite very strong competitive intensity in the entire zone, we were yet again number one in the entire zone for the entirety of the quarter, ending with 24.4% marke t share.
Coming to gross margins, gross margins has been a very consistent story this entire fiscal. In Q3, we added 1% margin on account of superior revenue. We improved our margins by 1% on back of reduction in COGS and 1% margin improvement was down to us being able to claim subsidies better, leading to a 3% improvement in AGM compared to Q2. Not just Unit Economics, but also EBITDA.
Now, let me just put, and before I get in the EBITDA story, let me just give some context. We believe that this year, there are some headwinds ahead for the industry, auto in general and EV

specifically, in terms of commodities and potential risks to subsi dies and potential pullbacks there.
To better manage those, we have been working hard over the last few quarters and we have been very disciplined with our fixed costs. So, while Unit Economics has improved and has been at a great place overall, we have also ensured that our fixed costs have been maintained really well

to ensure that our overall EBITDA lands at a better place. This prepares us well for potential headwinds later this year, so that our P&L can be protected even through that time.
And that work is what you see reflected in numbers here. For example, in all of FY '25, we improved EBITDA by roughly about 1 ,300 bps. In just three quarters of FY '26, we have already improved EBITDA by 1 ,400 bps. And we do believe that we will exit FY '26 with an even stronger position, given current trajectory. This EBITDA, so Q3 EBITDA was at roughly about negative INR29 crores, about roughly 3% negative, just under 3%.
So, there are a lot of reasons for us to be confident about operating leverage. And because the growth outlook is strong on the back of the work we are doing with EL, the work we are doing with the new factory in AURIC . But there is another lever, which is specifically a strong Ather success, which is our non -vehicle revenue contribution.
Typical legacy players, I think would do about 15%, 16%, 17%. Ather's non -vehicle revenues is already up at 14% in Q3, which is obviously our highest ever. And this is despite our service revenues being obviously still very early stage, because the i

nstalled fleet size is obviously
limited. So, we do believe that the re is a lot of compounding possible on non -vehicle revenue. And given that most of non -vehicle revenues end up accruing superior gross margins, the contribution to gross margins is much higher.
The largest contribution to non -vehicle revenue comes from the sale of software in the form of ProPacks . And I want to spend a few minutes on our software story today, because we have launched a new version in the previous quarter, and a lot of launches ahead of us. And this has overall contributed to a strong profitability or strong unit economics for us till date.
Our software suite is broken over four different vectors of safety, navigation, convenience, and ride assist features. Safety features are features like Find My Scooter , Theft & Tow Alerts , Live Location Sharing , Navigation is things like send location via WhatsApp, Google Maps on dashboard, so on. Convenience are features like Ride Story, so you can track your vehicle usage, Remote Control over your vehicle. And Ride Assist are features that alter your riding style, features like AutoHold , Traction Contro l, Magic Twist, so on.
While the financial performance of the software product is visible to most analysts on the street today, we also want to talk a little bit about all the work we're doing to ensure that consumers continue to really love the product, because that word of mou th is important for continued success of this product.
So example, if I were to share a few stats around usage, about 40% of our users use safety features like Live Location Sharing, Find My Scooter, at least once every month now. More than 50% of our users use onboard navigation, which is Google Maps, at least once every week. In fact, there are about 50,000 power users who use navigation every single day now.
Ride stories which was a quirky feature we built a while ago, today has 37% Monthly Average Usage , MAU. There are a lot of users who are truly hooked on to the mobile app because of this feature. Ride assist is, however, the holy grail of what great software features should enable for the brand, which is extreme stickiness. And that's what we are seeing. These are features that are

unique to Ather . They've been built with a lot of deliberation. And once you start using them, it will be very hard for you to switch products and go to another brand.
These are features like Magic Twist, where you can use the throttle to brake or AutoHold , and so on and forth. And the stickiness of these features is insanely high now. 23% of our fleet uses Magic Twist every single day now. More than two thirds of the fleet uses AutoHold every single day now. And it's stickiness like this that gives us the confidence to introduce more such features. With the latest release being that of Infinite Cruise, where with just one button, you can put your vehicle in cruise and don't need to do anything after that. Infinite Cruise was introduced a few months ago to our highest end product, Ather 450 Apex. It's already seeing very similar stickiness as AutoHold and Magic Twist with 31% DAU, daily active users, which is why recently we have now pushed Infinite Cruise to 40,000 more scooters, cementing the technology

capabilities of the brand and the power of buy ing software because we can remotely upgrade your vehicle consistently and launch new features on it.
So together, this kind of ensures that not only we are seeing good outcomes out of our software financially, we are also investing in ensuring that there's strong product truth underlying these experiences so that people keep talking about them and more pe ople recommend to each other that you should buy the ProPack with an Ather .
And it's not just product and tech, but also marketing, which is investing in creating this entire asset. So starting

January, we have now started one of our bigger campaigns, which is called
Life is Easy on an Ather , where we are celebrating what we call magical experiences often born out of the software, AutoHold , Magic Twist, Infinite Cruise, so on and forth .
Outcome metrics, honestly, that's already public, so no surprises there. Very strong performance in Q3 with 91% attached rate for the software products. Despite a roughly quadrupling of our volumes over the last six quarters, the ProPack attached rates hav e been very consistent. We're investing more in the coming months. There are features like Pothole Alerts, Voice on Ather , ParkSafe Alerts that are scheduled to go live, which should hopefully further enhance the value of this entire suite.
On other sources, one big place of investment continues to be charging infrastructure for us, where we have consistently stayed ahead of the market. Ather runs the largest fast charging network for electric two wheelers in the country, with our total network size reaching 5,000 charging points as of 31st December. These are charging points operating on LECCS , which is our charging protocol, now publicly available. And also, we've been able to successfully drive monetization of these charging points, so it's no longer really a pure play cost center for us. We're also able to monetize them quite responsibly.
We had the multi -language dashboards, which really went quite viral and was a big marketing hit. Infinite Cruise, which I spoke about, Kids Helmets , which have just started scaling up now. We launched Rizta in the Sri Lankan market. We'd already launched Rizta in the Nepal market a while ago. We've now further expanded that into Sri Lanka now.

And finally, a recent announcement where we announced the entry into the auto insurance space. This is us getting into the value stream, more in the middle of the value stream, taking over the administrative work as an agent, as an insurance corporate agen t.
The primary reason for us to enter there was to take better control of the end -to-end consumer experience and deliver a delight feature there. But we also expect the entire play to be margin accretive for the company.
Finally, to just summarize the quarter, strong quarter at about INR995 crores total income, 50% growth in units sold, 18.8% market share P an India for the entire quarter, up almost two and a half times since Q1 FY ‘25, 600 stores P an India . Revenue from operations per unit hitting 1.4 lakhs, strong improvement in COGS, strong improvement in gross margin, AGM at 25%, and strong improvement in EBITDA ending with negative 3% for the quarter.
With that, I think I'm at the end of my walkthrough. We can now open it up to Q&A. Thank you.
Moderator: Thank you so much, sir. Ladies and gentlemen, we'll begin with the question and answer session.
Any one who wishes to ask a question may press star and one on the touch -tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and Gent lemen we will wait for a moment while the question queue assembles. First question comes from the line of Nishit Jalan from Axis Capital.
Nishit Jalan: Thank you for taking the question and congratulations on a good set of numbe rs. I have two, three questions actually . Firstly, on the volume and the market share side, I think we seem to be doing much better than probably what you would have also hoped a few months back. Just wanted to understand this distribution network we are expanding to 700 now . But how do you see that panning out in the next two, three years?
Will distribution network be the biggest driver of our market expansion here on because still our penetration is fairly low and the gain is coming more from middle India and rest of

the world
where we are adding a distributor. How do you see the potential of distribution expansion in the next two, three years?
Second is on product side. EL, i f you can share more thoughts here as to when should we see this platform getting launched and what kind of products you would look at from this platform?
And w ill the product be initially manufactured in Hosur before moving to Aurangabad ?
And t hirdly, on commodity side, I just wanted to understand while we can see that aluminum,

copper and all have gone up, anything on EV -related products that you would want to highlight as to what kind of price movements or inflation and all that we might see? And w hat is our response in terms of price hikes that we have taken from and what we plan to take to kind of offset those things? Thank you.
Tarun Mehta: Thanks, Nishit. Let me just go sequentially.

So, w hat is the distribution potential? I personally see distribution and the product portfolio being very intricately linked. You cannot de -link them and expand either and hope to get returns.
For example, with the introduction of Rizta is where we started feeling that our distribution, like we have a fairly evolved model in the back -end that helps us understand what kind of independent store has become viable with the existing portfolio.
So, we had estimated that about 600 and now 700 stores are independently viable comfortably with just Rizta and 450 alone. And honestly, with the expanding market, that number is going up. So, there is still some more potential for distribution expansion for a few more quarters. It cannot continue infinitely, which is where the next product plays a role.
EL is scheduled for launch later this year, and the launch of EL , that is leading into your second question. Obviously, I am not sharing specific details about the product or its exact pricing or its exact positioning, but directionally EL is a lower cost architecture for us, which is something we can then use to lower our entry price points wit hout losing a strong margin expectation.
So, we are going to use that. And with a better price point and a more flexible platform in EL, we believe the markets, particularly the North India markets, could open up materially to us. So, along with EL is how we will look at expanding our distributio n in sync with it.
The next few quarters, I think there is still work to do just to keep opening up what Rizta alone demands. But by that point, EL comes in, and then EL starts another wave of future store opening. I do believe that a couple thousand stores in the next few years is a pretty healthy ask and practically possible with the expanding portfolio.
EL obviously will scale via AURIC , but we are looking at the exact timing and we are open to starting EL out of the Hosur premises to de -risk potential timelines here, because the product readiness is pretty much on time. So, if required we will be ready to start EL out of Hosur itself to get the initial traction going while we continue scaling it via AURIC .
Finally, on commodities impact, honestly, I would love to tell you, this is cyclical, and there is a very smart analyst with a great report who knows what is happening. I do not think anybody knows what is happening. This is truly unprecedented in every way. There are a lot of commodities going haywire.
Some of it is fundamental, yes t here are some commodities that do seem to secularly be in a demand -supply gap. A lot of them probably are just – they seem to me like a little bit of a – they seem to be stuck in some sort of a hype situation right now. But even hype situations can last a couple quarters, so you cannot exactly predict. So, we are preparing for the worst. It is hard to say. I think it will be a few percentage points of risk this coming – for the rest of the year, something hopefully we will

be able to work with given our increasing scale. And particularly,
EL is a good way to de -risk some of these commodities that are going haywire, particularly things like aluminum. But yes, I think commodities are in a crazy space right now, and we all need t o be very careful.
Nishit Jalan: Thanks, Tarun . Just a couple of follow -ups. One, on – whilst the aluminum, copper, and all we can price , just anything on – it is related to EV components, battery, unlimited cost, or basically

electronics or anything, there also you have started to see inflation, or is it mostly the hard metals where we are seeing inflation?
And secondly, I asked around price hikes , how much we have already taken so far, or any plans for further price hikes?
Tarun Mehta: So, I think we will de -link them, because I think price hikes cannot be in isolation, cannot be just purely linked to commodity risks. But to your specific point, I think the commodity stress is distributed over both auto and the battery side. We are seein g certain commodities on specific chemistries also going up. I think – I would still say the battery side is a bit more manageable.
It is the vehicle side which seems a little bonkers right now.
Nishit Jalan: Okay. Thank you.
Moderator: Yes. Thank you so much. Our next question comes from the line of Kapil Singh from Nomura.

Please go ahead.
Kapil Singh: Yes. Hi, Tarun. Congratulations to you and your team for a wonderful set of results. Firstly, on the cost side, I just want to understand as you look forward, where are the areas where you can reduce costs? Is it more coming from scale or is it coming from some value engineering or innovations that you are doing?
And just in terms of contribution, which of these areas has more potential? Just some color on that. And you mentioned that you will exit this year on a stronger note. Is there – it seems a little surprising given the commodity inflation we are seeing. So, just som e color on that as well, please?
Tarun Mehta: Thanks, Kapil. So, there is a cost reduction can come further from. I do believe that our industry is still not at steady state cost structures by any stretch. I think there is, depending on the product, I feel there is like a 10 %-20% long-term potential still easy in the cost structures.
For us, the easiest opportunities are in the mechanical sides first, which is where a lot of the work on EL leads us to , a steel frame, more traditional in its sense, an enclosed gearbox instead of the current transmission design, and a few other manufacturing improvements hold an enormous amount of potential in easy and large cost reductions, more particularly aimed at Ather in the near term, let's say the next 4 ,6 quarters, I would say.
There are certainly opportunities yet. And as scale gets in the 40,000 -50,000 a month , I think they will start becoming more and more visible. On the vendor side, instead of just calling them pure negotiation opportunities, I will reframe them as ME opportunities, Manufacturing Engineering, where getting into the details of the manufacturing process, and that's the difference between ICE and EV today.
A lot of the EV -specific designs haven't had the time to be perfected from a cost, and specifically a process cost, logistics cost, inventory, and storage cost perspective. So there's a lot of flap. When you start getting the details of it, that can add up to several thousand rupees. So I think this detailed work now will continue for the next several years, and there's a lot of long -term

squeeze potential in the cost structures. But obviously, it requires work and which is what we are geared towards.
Did I answer all your questions? Kapil?
Kapil Singh: Yes, I think it did…
Tarun Mehta: Sorry, Q4. So -- no, I was just indicating

that YTD, we are at negative 9% EBITDA. YTD, we are negative 9%. So I do believe that by the exit of FY '26, we will be better than negative 9% because the recent quarters, we've been performing better. So , averaging out we're taking the average down. So , I think we'll average better. Yes, there are some commodity risks starting to build up, but I think we'll still be able to manage them, at least in the short term.
Kapil Singh: And Tarun, do you feel that there is more pricing power for you? One of the disadvantages, unfortunately, is that you don't have PLI. And we are seeing in some of your competitors, very strong PLI contribution. So is there scope to take up pricing as well over the next two years? And how do you think things evolve after FY '28 when the PLI ends?
Tarun Mehta: So Kapil, you picked up my favorite topic. I think, actually, I want to reframe this for the street that us not having PLI is actually one of the strongest and one of the biggest reasons to be optimistic about us in the mid -term, because we are already operating on the most cleanest pricing principle. We don't have the risk of PLI changing our pricing architecture completely a few years later.
And PLI is not a 10 -year policy. So , I would say not having PLI hurts, but I think that's a good pain to take right now to have a very, very, very resilient P&L in the next two-three years. Now, to your base question, is there more pricing power? We have been very disciplined about timely price hikes. In fact, even in the start of this quarter, Q4, we have announced a INR3,000 price hike. And we are managing that well.
Obviously, price hikes are distributed across different geos, distributed across the base vehicle. So actually, one advantage that Ather has is that , we have the levers of the base vehicle price and the Ather Stack Pro price. So , between these two levers, we can also distribute the price hike, giving consumers a little bit more flexibility and giving us better ability to land the message.
So I think operating in a non -PLI world has made us incredibly creative and incredibly disciplined about pricing. And yes, we've just taken a price hike, and I think we're managing it quite well.
Kapil Singh: Okay, great. Any thoughts on what will be your monthly volume run rate for a EBITDA break -even?
Tarun Mehta: Kapil, sorry, we are not giving that guidance. I know it's a straightforward math s, but from

company's perspective, we are not sharing guidance.
Kapil Singh: Okay, thanks and best wishes. Look forward to a stronger Q4 as well.

Moderator: Thank you. Our next question comes from the line of Chirag Jain from Emkay Global Financial Services . Please go ahead.
Chirag Jain: Yes, thank you for the opportunity and congratulations on a very strong performance. Tarun, just wanted to understand a bit more. You did mention that non -vehicle revenue consumption typically is 15 %-17% for ICE companies, and we are already at 14%, even though this service revenue is still at early stage. So, what would be the steady -state non -vehicle revenue contribution if you can highlight? That would be great, as -- we see maturity in terms of the business model?
Tarun Mehta: Yes, so I think software is already performing well, while there could be still some more juice left in the pricing there, but that's hard to predict. If we can maintain software's contribution to our non -vehicle revenue, I think that'll be terrific and fantastic, which we've been lucky enough to have pulled off for the last six quarters. But beyond software, actually the good news is almost everything beyond software compounds basis your fleet size.
Software is the only thing that we actually sell at retail, and it's linked to how much you retail that month. But if you look at spares and service revenue, that just compounds basis fleet size,

and obviously vehicles are going to stay for 10 -20 years. If you look at charging revenues, they compound basis fleet size.
So there's a lot of upside available here. Today, things like service spares barely add up 2%, 3% of our revenue, and this is standard industry, two -wheel industry math, those numbers are several times higher for legacy players. So I think there's a lot of upside potential there in the next three - four years.
Obviously, this is not like a two -quarter story, so you will have difficulty modeling this in a quarter or two. But if you take a three -four year view, I think there's a lot of juice in the non - vehicle side for the company. And there is, I would say, mater ial upside available here.
Chirag Jain: Okay, thank you. And one question on the overall electric two -wheeler industry demand environment. We have already seen a cut on GST on ICE two -wheelers, plus probably we might have to take maybe sharper price hike, as you also mentioned?
And again, the INR5,000 -subsidy of PM E -drive will expire by March. So how do we see the demand environment for the electric two -wheeler industry for next financial year? I mean, we have already seen some correction , but even though we have seen a comeback, but still not the pre-GST levels in terms of EV penetration?
Tarun Mehta: Actually, I've been always of the opinion that I think the real growth in the EV two -wheeler industry has been masked because of a lot of vehicles below the one -lakh-rupee price points, which kind of disappeared in the last one year. So if you were to mode l the industry as two different segments, products priced above a lakh and products priced below a lakh, the products priced above a lakh segment has grown at a beautiful growth rate over the last 18 months, 18, 21 months, six, seven quarters.

Products priced below a lakh has been shrinking at a very dramatic pace, which is why when you put the entire industry together, you've seen a more humble growth than what we feel as an operator here. Now, what's starting to change is I think a lot of that fluff in the sub -one-lakh- rupee segment has disappeared. I do not believe that the sub -one-lakh-rupee segment does not exist. It does exist and there is a segment and there are buyers.
And I do believe that from an industry's perspective, now there are good products priced fairly there, which means that segment's growth will also now be incremental. And the north of one - lakh-rupee segment in our assessment is growing already well. You w ill see signs of it in the months of December and now January.
December was, if I'm not wrong, almost 30% -40% up over the same time last year. Even January was, I think, about 20% -30% up over the same time last year. So we are now finally starting to see those 20% -30%-40% kind of month -on-month, sorry, year -on-year jumps that we've been seeing from one perspective, but I think we will now start seeing that at a full industry level.
Chirag Jain: Thank you. And just lastly, on the e -Motorcycle, any thoughts and any launch plans? Thank you.
Tarun Mehta: We are still at an early stage. We are still evaluating it. Honestly, all hands on deck, completely occupied with the scooter segment right now, particularly with EL and its associated products.

There is work happening on motorcycles, but nothing for me to announce or declare today.
Chirag Jain: Okay, that's it from my side. Thank you.
Moderator: Thank you. Our next question comes from the line of Mukesh Saraf from Avendus Investment Managers. Please go ahead.
Mukesh Saraf: Yes, hi. Good evening and thank you for the opportunity. My first question is, again, just relating to the ProPack and the fact that attach rates remain quite high, around the 90% mark, despite the fact that we're seeing growth in some of these states that we'll associate more with, say, a value co

nscious customer, something like an Odisha for example.
So just trying to understand, I mean, is this Pro -Pack attach rate similar across these newer geographies that you're kind of seeing the increase in penetration? Or is there some disparity between some of these, say, a southern market versus, say, some of these newer markets?
Tarun Mehta: Right. Thanks, Mukesh. So very good question and a pretty good story there also. You will notice a very, very small change, which will allow me to dig into and share it with you. From, I think, Q1 FY'25 to Q3 FY'26, over almost six quarters, ProPack attach rates have gradually pinched up from 89% to now 91%. What's been happening underneath is, South has been always very strong at roughly about 89% or 90% or 93%, much higher than 90%. It was the non -South markets that used to have a lower ProPa ck attach rates. In the last earnings call, I had highlighted that what we estimate is that as a store starts aging, as it starts clocking some time, if a store has been open up for a year or two, the first thing that starts happening is its ProPack attach rates start gradually inching up.

Because the entire business model is new, not just for us, but also for our retail partners. They've never really been exposed to a model of selling a very, very high margin and a meaningfully expensive accessory of software with a two -wheeler. So initiall y, there's a lot of hesitation, a lot of lack of clarity at the retail partners' level in selling these ProPacks.
But over a few quarters, the math becomes obvious to them. So then they start properly upselling it and that's when it starts taking off. We've seen consistently that the longer the store remains open, higher is its ProPack attach rate. So for example, in the Western zone, Maharashtra, Gujarat, we are now seeing pretty healthy and frankly quite satisfying ProPack attach rates. Definitely Maharashtra, even Gujarat is getting there. MP, because of the pace of new store expansion, on average, you will see a so fter growth. But if you were to separate stores out by vintage, you will see a very strong growth trajectory there also. Overall, at a high level, you give stores time, their ProPack attach rates go up, irrespective of whether they are in South, West, North, East. So that seems to be a fairly dependable trend. Yes, there will be a 5% -10% delta between geos depending on the economic indices of the geo, but nothing material .
Mukesh Saraf: Sure, sure, sure. Great. Thanks for that. And just in continuation with this, is it then fair to kind of say, I mean, again, vis-à-vis conventional thought process about the total cost of ownership parity between ICE and EVs. For your set of customers who are looking at your products, that doesn't matter really anymore. Is it fair to kind of say that? Because they're willing to kind of spend this extra 10K odd for the ProPack, definitely not value conscious there and definitely not looking at, say, an ICE cost of ownership parity with ICE?
Tarun Mehta: Okay, let me give you a slightly different perspective for you to reframe this for yourselves. The total cost of owning and running an EV over, let's say, a 10 -year period will be, you know, take the middle of our portfolio, something like a INR1.3 lakh pr oduct, add another INR30,000 - INR40,000 on it on electricity, another INR20 -INR30,000 for service. You're looking at roughly about INR1.8 -INR1.9 lakh rupees as the total cost of operating an EV, the base EV.
Compared to that, the cost of the software is about 6%. If you look at the usage, 6% or 7% whatever, right? If you look at what people actually use on an Ather scooter today, what features they spend their time on, we are massively over -delivering value in the software ProPack compared to the price that we are charging today.
I would argue that one of the largest chunks, not th

e largest, but one of the largest chunks actually sits inside that pack there. And it is only the alien nature of that product today in the market that is making us price it here. Otherwise, in theory, we should be charging more because that's where the consumer is actually deriving so much value out of.
So I would say that independently, the ProPack is very high value, which is why the attach rates are what they are. Does the total ownership cost matter for the end consumer? I think it always matters. And I think it really doesn't vary by segment, not till these price points at least. Sure, INR3 -INR4 lakhs a bigger bike might behave differently, but a INR1 -INR1.5 lakhs scooter buyer, I think the total cost of ownership matters. But the thing is, I would also say it is post -

purchase rationalization.

You buy the vehicle because you really fall in love with it, and then you rationalize it to yourself and to your friends and to your social circles. I know it's expensive, but listen, I say like INR30,000 rupees on petrol every year, man , what are you talking about? And luckily for us, the savings compared to petrol are just so humongous that even with a 450 apex at IN R1.9 lakhs rupees, I think you can still feel happy about where you will land financially. So I think the fundamental truth is just astoundingly strong.
Mukesh Saraf: Got it. Great. Thank you. Thanks a lot for the detailed answer.
Tarun Mehta: Sure.
Moderator: Thank you. Our next question comes from the line of Amyn Pirani from JP Morgan. Please go ahead.
Amyn Pirani: Yes. Hi. Thanks for the opportunity. Just a follow -up on the ProPack discussion that you just had. So a clarification, can people who buy just the vehicle come back at a later date and still buy the ProPack? And does the pricing change? Like how does it w ork?
Tarun Mehta: Yes, you can. But we obviously want to encourage you buying upfront, because we do believe that if you don't buy upfront, you're not just experiencing the ProPack, you're not experiencing all the value out of it. And if you're not experiencing something an d you don't know about it, how will you come back?
So we price the products differentially. If you buy it along with retail, it's a lower priced product. Post retail, I think we bump up the price 30% or something. So it's more expensive to buy. So we really, really want to ensure that for a new product lik e this, we don't have you wait, because then you may not think of coming back.
Amyn Pirani: Okay. And just wanted to also talk about something that you discussed last time also. Is there any update from the government on the rollout of ABS? And what is the kind of discussions you're having on your own version of the EBS, which obviously, as we talked about last time was potentially even more effective and less costly than the ABS?
Tarun Mehta: So we've been engaged with the relevant ministries and policymakers. We are also aware that this is a hard ask, because I think we're too, I think we lack branding. I think it's been very rare that for a globally famous technology like ABS, an Indian alter native would emerge.
So there's a lot of honestly, there's a lot of advocacy work required here. We are committed to it. And we do think that there is merit in pushing this. But for now, I think our base assumption is that this is an add -on as opposed to a immediate replacemen t for something like ABS.
Amyn Pirani: Okay. But any timelines on because earlier ABS was supposed to happen in Jan 26, which seemed very ambitious, but is there any revised timelines which are coming from the government on that?
Tarun Mehta: We haven't heard of a revised timeline. We do know obviously, it's deferred, but we don't know till when.

Amyn Pirani: Okay.
Tarun Mehta: It actually works bette

r for us because if without mandate, we can, we can offer people the option of an in our future products. I think that'll be a good win for Ather .
Amyn Pirani: Okay, great. I'll come back in the queue. Thank you.
Tarun Mehta : Thanks, Amyn.
Moderator: Thank you. Our next question comes from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.
Nitin Arora: Hi Tarun, t hanks for answering all the questions mostly. Just on your EL platform, when you talk about the lower cost structure, can you talk a little bit, in terms of mix, do you see that cannibalization because that was the risk everyone was building in. And when y ou talked about Ritza, it looked like cannibalization is not seen anywhere now. So can you talk about a little bit trends, how this volume ramp up has happened and no cannibalization we are not seeing?
Tarun Mehta: Sorry, your question is that, why did we not see cannibalization of 450 with Ritza or what will happen with Ritza post EL?
Nitin Arora: Post EL.
Tarun Mehta: Okay. So there was, by the way, some cannibalization of 450 with Ritza, by the way. But yes, on balance, it just incrementally added a ton of more volumes. So everybody's happy. And that's, that's great. With EL, we do expect that there will be some cannibalization. It'll also depend on

the exact positioning of the first EL product, its pricing, its feature sets, but there will be some cannibalizatio n.

Now, unlike 450 and Ritza, if there is cannibalization here, actually as a company, we are happy because EL has underlying better cost structures. So any customers who ends up choosing EL over Ritza of their own free will, actually it helps us make more mo ney out of it. So I don't think we mind it. There is, this is one of the best scenarios to be in as far as cannibalization is concerned. So which is why we are not overly worried about, okay, what happens if there's cannibalization. In fact, we have the op inion that there's cannibalization, great. Our margins actually improve even further than what we anticipated.

Nitin Arora: Thank you very much.

Tarun Mehta: Nitin, on overall volume expansion, we, so we expect EL to be able to expand volume because of two primary reasons. First, it'll allow us to introduce more products in segments where we are already strong. So we will be able to cover the market even more c omprehensively, ensuring that we continue our strong dominant market shares in those price segments.

But there are price segments, particularly in the INR 1 to INR1.25 lakh, where including the price of our ProPack today, we practically don't have a product. We believe EL will allow us that white space entry and some, and a healthy market share gain, all of which is new and

incremental and is not even real cannibalization. So we expect volumes to come on volume expansion to happen because of these two approaches.

Nitin Arora: Thank you. Very helpful. Thank you.

Moderator: Next question comes from the line of Vijay Pandey from Nuvama Wealth Management.

Vijay Pandey: Thank you for taking my question and congratulations for an excellent quarter. I have a couple of questions. One was on our gross margin. So basically I wanted to understand how bill of material has moved from FY’24 to FY’25 to right now. What is like as a percentage of total cost or total vehicle cost? And how much is the battery price of that component , BOM ?

Tarun Mehta: So Vijay, we've shared this detail from FY’25 to YTD FY’26, three quarters FY’26, a BOM has reduced by roughly about 8%, roughly about INR10,000 from an average … weighted average BOM of INR1.2 lakh to roughly about INR1.1 lakh, INR1.11 lakh by now. So that's the improvement we have seen, FY over FY, full FY to nine months this FY. How much is the cost of battery?

Well, I'll skip the cost of battery pack because that is a lot of detail. But at a cell l

evel, the total cost of cells as a function of the total bill of material is below 20% now. I can't share the exact number and also honestly depends variant to variant , but it's generally below 20% as a safe estimate these days.

Vijay Pandey: And in FY’24, it was generally how much?

Tarun Mehta: The FY’24 to FY’25 was also a big drop. FY’24, it was INR1.48 lakh, which fell down by 19% to INR1.2 lakh in FY’25, which has fallen further by 8% in nine months of FY’26 to INR1 .1 lakh.

Vijay Pandey: Okay. I was actually looking for the battery as a percentage of BOM cost for FY24?

Tarun Mehta: Sorry, I unfortunately won't remember that. I do remember that for the last few quarters, the cost of battery, the cost of cells has been sub 20, but the rest I won't be able to pull out.

Vijay Pandey: Secondly, I wanted to check about the software mix. So how do you see the non -vehicle revenues around 13%? What will be the software component of this? And are we seeing any deviation in terms of software revenues when we see, consider the higher price mod el and the lower price model, like between Ritza and 450S?

Tarun Mehta: So the price of ProPack is generally quite similar between 450 and Ritza variants. I would say without sharing exact details, roughly about half of the non -vehicle revenue or in that vicinity comes from sale of ProPacks.

Vijay Pandey: I meant adoption rate. Adoption rate of software between...

Tarun Mehta: Quite similar. If you think about it, Ritza is the majority of what we sell. 91% is the attached rate for the product. There's not too much leeway for differential attached rates at this point. They're quite similar.

Vijay Pandey: Okay. And lastly, sir, if you can just please share, give a little bit of information about the charging, unit economics of the charging station because no one else does it in India. So it will be great if you can share a little bit about how PAT profitabi lity or how the revenue realization

is coming in. Can we expect any profitability from that segment?
Tarun Mehta: I'm sorry. I don't have that information handy. So I'll have to skip that for now.
Vijay Pandey: Okay. Thank you. I'll fall back in the queue .
Moderator: Our next question comes from the line of Pratiti from Param Capital. Please go ahead.
Pratiti: Yes. I had a question. The volume numbers that were given in the revenue, the ASP comes to around INR1.4 lakhs. Am I right on that?
Tarun Mehta: Yes, you are. We've also shared the same in our presentation uploaded online.
Pratiti: Okay. Great. Also, one more thing. I think we've spoken about how LFP batteries we'll be moving towards and that will help our gross margins. So has that happened and how do we see the gross margin improvement in this quarter?
Tarun Mehta: LFP has already played a material role over the last several quarters and has helped improve our – over the last few quarters and has helped improve our unit economics. A lot of – the large part of the gain is already factored in. There could still be some upside as the variance skew evolves a little bit, but I would say the majority of that upside is already factored in.
Pratiti: Okay. Also, battery as a service is something that we were supposed to do. So have we started that? And if yes, how many of the units sold out of 68,000 opted for this service?
Tarun Mehta: You know, it's really telling that the street does not even know that the product is live. The feedback will be shared with our sales teams. But honestly, we looked at BaaS first and foremost as a strong marketing lever for us, which I think it's played an okay kind of role for us. It has fairly small attach rates today.
It looks like once consumers come in, they end up opting for other plans and not necessarily BaaS. Also, retail finance is already – like more than 50% of our consumers already opt for retai

l
financing. And maybe that's why Ba aS attach rates are low, because if you are anyways opting for an EMI, then you may not honestly need a BaaS .
Pratiti: Understood. Also, there has been a supply chain ban on magnets from China. So how has that impacted our supply chain, if anything?
Tarun Mehta: That's behind us. The ban impacted our sales in Q1 . . . Q2. Q3 onwards, we have had no material impact because of the ban. The ban expired in October.
Pratiti: Okay. So now the supply chain is back on track.
Tarun Mehta Yes.

Pratiti: Okay. All right. Thank you so much. Congratulations on a great set of numbers.
Tarun Mehta: Yes. Thank you.
Moderator: Thank you. Our next question comes from the line of Manish Ostwal from Nirmal Ban g. Please go ahead.
Manish Ostwal: Yes, sir. Thank you for the opportunity. I have only one question. Most of the questions already you answered. So on export side, any strategy we have over the medium term? Can you comment on that?
Tarun Mehta: So right now, we have done a limited experiment with Nepal and Sri Lanka, where we have seen encouraging results. Particularly with EL as a platform, we are optimistic about international markets. The longer wheelbase and the opportunity to add bigger whee ls works well for certain markets.
In the near term, there's not a lot to share. But if you take a few years' outlook, international expansion will likely be a considerable growth driver for us, but not in the short term, not in the next lets say 12 months, because you open up a market and it'll take a few years to warm up and start contributing. So think of that as a more mid to long term growth lever.
Manish Ostwal: Right, sir. Thank you.
Moderator: Thank you so much. Ladies and gentlemen, due to interest of time, that was the last question for today. I would like to hand the conference over to Mr. Murali for the closing comments. Thank you and over to you, sir.
Murali Sashidharan: Thank you. We sincerely appreciate all of you joining us today and for your continued engagement and support. And we look forward to updating you on our developments in the upcoming quarters. Wishing you all a pleasant week ahead. Thank you.
Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of Ather Energy Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purpose)

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Call: May 2026

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Dear Sir/ Madam,

Sub: Transcript of earnings call pertaining to the Audited Financial Results of the Company for the quarter and financial year ended March 31, 202 6

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in furtherance to our earlier letter dated May 04, 202 6 on the audio recording of earnings call of the Company pertaining to the Audited Financial Results for the quarter and financial year ended March 31, 202 6, please find enclosed herewith the transcript of the said earnings call.

The said transcript is also available on the website of the Company at: https://www.atherenergy.com/investor -relations/financials#earnings -call-transcript

Kindly take the above information on record.

Thank you

For Ather Energy Limited

Puja Aggarwal
Company Secretary and Compliance Officer
Membership No: A49310

"Ather Energy Limited
Q4 FY '26 Results Conference Call "
May 04 , 202 6

MANAGEMENT : MR. TARUN MEHTA – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – ATHER ENERGY LIMITED
MR. SOHIL PAREKH – CHIEF FINANCIAL OFFICER – ATHER ENERGY LIMITED
MR. MURALI SASHIDHARAN – HEAD OF COMMUNICATIONS – ATHER ENERGY LIMITED

Moderator: Good day and welcome to Ather Energy Limited's Q4 FY '26 Results Conference Call . As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference call, please signal an operator by pressin g star and then zero on your touchtone telephones. Please note that this conference call is being recorded.
I now hand the conference over to Mr. Murali Sashidharan , Head of Communications, Ather Energy. Thank you and over to you, sir.
Murali Sashidharan : Thank you. Good evening, everyone, and welcome to Ather Energy Limited's Q4 FY '26 earnings conference call. From the management, we have with us today, Mr. Tarun Mehta, Executive Director and Chief Executive Officer, and Mr. Sohil Parekh, Chief Financial Officer.
Before we begin, let me draw your attention to the fact that today's discussions may include certain forward -looking statements, which are predictions, projections, or other estimates about future events. These statements reflect management's current expec tations about the future performance of the company and are subject to various risks and uncertainties that may cause actual results to differ materially.
With that, I now request Mr. Tarun Mehta to share his opening remarks. Following his comments, we will open the forum for questions. Over to you, Tarun.
Tarun Mehta: Hey, thanks Mur ali. Very excited to be here. Good afternoon, folks. Today's call will probably be a slightly longer walkthrough as we try and summarize the entire year's performance, particularly as we come here at literally the eve of, or very close to the eve of our listing, which happened on 6th May last year.
So, first, FY '26 was definitely a very massive important year for us. It was truly a breakthrough year. We had originally set out to establish that on the back of a new product like Rizta, Ather's rightful market share and volumes are going to be substantially higher. In fact, that was part of the, a large part of the story that we had gone public with, and clearly in FY '26, results showed that, overall volumes are up almost 66%, with Q4 itself delivering 83,000 units, which is almost 80% of the volume th at we did just a couple of years ago.
And a large part of this, in fact, I would say almost all of this growth is ascribed down to the new product Rizta, which has grown remarkably well and today is almost three -quarters of our sales. It's also improved our market share, improving by about 1100bps from about 11% -- from about 8% to about 18.6% in Q4 FY '26. So, a fantastic growth through the course of the year.
The second thing that we were confident of delivering was a new product will unlock new stores for us, and those stores can drive a fantastic growth trajectory for the business - which has happened. We doubled our store count through the course of the year from 351 to 700 stores by March '26 and all of that's been built on the back of a very solid and reliable product and operations engine, with R&D firing on full gear, 643 patents filed till date with 283 patents filed just in FY '26 alone.

We also launched AtherStack 7 in FY '26, which had a lot of new features like Infinite Cruise, Vernacular Dashboards, pothole detection , so on and so forth. And finally, we are in the midst of our build -up of Factory 3.0, which is our new capacity, which is the largest capacity and will help us scale up our new platform EL later this year.
Distribution was particularly a growth lever that we were very bullish on. Many folks had been -- many investors, many shareholders had asked us before the IPO that why not add more stores, and we were very clear that we will add stores when they are independently viable

and we will
add them on the back of a new product, which is what we were finally a ble to do on the back of Rizta, scaling up about 80, 90 new stores every quarter like clockwork through the course of the entire financial year.
What's really heartening is to see that a large part of this store expansion happened with our existing partners. 75% of stores have opened with existing dealers. We've focused a lot in the last one, a couple of years particularly, in ensuring that our dealers have strong unit economics and strong underlying businesses, which is what's translated into them adding a very large network with Ather, becoming an important part ner for them.
Not only stores, but they've also added a lot of service centers. Our service centers actually have more than doubled this year, and particularly in the last two quarters, they've become a large part of what we are focusing on and scaling up across the cou ntry.
In this growth journey, instead of going with a plain vanilla, expand everywhere where you're

not kind of a strategy, we chose a far more targeted approach. We'd called out a zone which we call as Middle India, which are the five states of Chhattisgarh, Gu jarat, Madhya Pradesh, Odisha, and Maharashtra. And we had called out that we're going to focus here in FY '26. We believed that given that these states have high scooter penetration, they have high share of premium scooters, and Ather's brand equity is ac tually decent, Middle India can start behaving very much like South India, where Ather has historically always done well.
So, we'd bet that Middle India can be taken to a South India kind of performance very quickly. We put a lot of our eggs on this basket, doubling down in marketing, doubling down in distribution. So, for example, in the doubling of stores last year, Middle India got the highest share of new stores with 125% EC expansion -- store expansion year -on-year. And that's led to an almost unbelievable result where Middle India, which was at about 4% market share at the start of FY '25, today has more than quadrupled market share for Ather to 17.3%.
Rest of India's done well, going -- tripling its market share from just under 4% to 12%, and even in South, where we've added 80% more stores, we've seen a market share growth from 13% to 23%. This strategy of adding a new product which expands addressable market and then adding new stores on the back of that larger TAM is something that I think paid the most clearest results possible in the Middle India -- in the Middle India zone for us.
So, if you see our slides, we've added a couple of slides to make this point. Gujarat and Odisha were two states where our estimate was that Ather has decent brand equity but is lacking the right product, and something like Rizta can really unlock market s hare for us - which is what

happened. Introducing Rizta in Q2 FY '25, our market share tripled in a matter of just few quarters from 4% to 14% in these states. And then on the back of this really strong response, we were able to unlock a lot more new stores, and those stores took us further upwards from 14% to 19% and almost 20% market share.
In effect, the states of Gujarat and Odisha today are almost behaving like any other South Indian state for Ather today. Newer places, newer states like Madhya Pradesh and Chhattisgarh for Ather, and fiercely competing large markets like Maharashtra, the story's been a bit different, but we took the same leap. Given the strong performance in Gujarat and Odisha, we started adding stores here really rapidly post -Rizta, and we've seen a very similar trajectory. We've gone from about 8% market share to 16% plus market share, and we do believe that there is a lot more headroom here, particularly as we're able to unlock much more supplies in the coming quarters.
Rest of India's done incredibly well for us too, endin

g at about 12% plus market share. States
like Rajasthan, Punjab have done, and Himachal Pradesh have done incredibly well, and even Bihar and Uttar Pradesh are about to enter double -digit market shares for Ather, unlocking large potential markets, particularly as we build up our markets for EL later this year.
South is a little bit of a surprise for us in how it's expanded. Frankly, given that South is the most penetrated EV market and one with -- and it's also the largest EV market, we frankly expected South's growth to be considerably lesser than the rest of the country. And which is what happened for a large part of FY '25 and even till early FY '26. So, our focus was frankly on capturing market share and getting to 20 %, 25% market share as soon as possible. But the last few quarters have completely surprised us because South has actually grown as fast as the rest of the country.
Basically, the most penetrated and the largest EV market has also grown the fastest. and hence we've been -- basically the performance of South has to be seen from the perspective of a really fast-growing market, which is also why our EC count, our store count has been increasing really rapidly because the market's just becoming deeper.
So, our quarterly sales have gone from about 27,000 units in a quarter to about 41,000 units by the end of Q4, and we've been able to broadly maintain our market share. We do believe even now that the rightful market share for South lies even higher, and we'll need to unlock more capacity, more supplies in this zone in the coming quarters.
All of that takes us to unit economics. Unit economics, we've entered the FY -- we've ended FY '26 at a great place, improving our AGM by about 5 percentage points. This is with subsidy, up from 19% to 24%. Without subsidy, margin improvement has been even sharper, from 12 percentage AGM to 21 percentage AGM and this has been driven by a consistent reduction in COGS, which reduced by about 9 percentage through the course of FY '26.
This was supported by a very strong performance by AtherStack and Pro -Packs . Honestly, completely against our expectations, as you will see in the slide that we've uploaded, even as our quarterly volumes have really compounded up from 43,000 units to 81,000 units, Pro -Pack attach rates not only have held steady, they've actually gon e up, with Q4 FY '26 being the highest

ever Pro -Pack attach rate at 93%. This has definitely and certainly helped our margins and has really helped differentiate the product and the business.
Charging infrastructure has played the role of a really differentiated ecosystem experience and has deepened the moat. We now have more than 6,000 fast charging points on the LECCS standard across the country. And in the recent years, the number of charging sessions on public fast chargers has compounded faster than the total number of chargers, which is a really positive thing for the underlying unit economics of these fast chargers, one that already obviously has had positive unit economics and we believe will have a line of sight of positive EBITDA as a standalone business in the coming years too.
All this scale for charging infrastructure has also been built on the back of LECCS, which is the charging protocol that Ather has now created. It no longer is the Ather charging standard, but it's an Indian charging standard, and we're very happy to report that it's no longer just Ather that is using it. There are more than 20 plus stakeholders of OEMs, CPOs, and suppliers and providers who've joined the newly created consortium called LEAF, which is now pushing this as not just a national but also soon an international charging standard.
Finally, coming to EBITDA, so all of this has translated into strong EBITDAs. The work on vehicle, the work on software, the work on all the ecosystem products together, and th

e EBITDA
improvement is where the story is hands down the sharpest. We saw more than a 1500 -1600 bps improvement in EBITDA losses from FY '25 to FY '26, with Q4 being an incredible 2 ,000 bps improvement in EBITDA losses, with EBITDA losses coming down from 23% to about negative 2%.
So, a very sharp improvement. This has been possible because EBITDA has enjoyed two advantages: one, continuously improving unit economics; B) also very solid operating leverage. About three -fourths of the cost below gross margin is fundamentally fixed in nature, and hence the operating leverage has been very powerful and has been a very strong translation of all the gains built upwards of that.
FY '26 was not without challenges, particularly supply chain challenges have been building up through the course of the year. What hit us were three big things, which is rare earth magnet prices, the spike in memory costs across the entire world, and the s pike in lithium -ion battery prices because of commodity inflation. What we did was a lot of work in strategic sourcing, pre -buying, and inventory planning, which is what allowed us to sidestep or at least push out a lot of these hits in FY '26.
Engineering for alternate technologies, for example, like LFP, which allowed us to mellow down or even again buy our way out of the spike in lithium -ion battery prices overall, and definitely obviously the continuous work in alternate technologies and prod uct-led design changes, which was the constant VAVE work that delivered the overall COGS reduction that we've seen till date.
But this is not the end of it. We are living in an extremely volatile macro, as you're all aware, and we do expect the impact to be there in the short term. We've put out some content this time,

we spoke about it during Q3 results also. We expect the hit on -- not just the supply of material, but now also the cost of all raw materials to remain inflated for a while.
While the current commodity costs are obviously crazy and we don't expect this to be a new normal for our industry going forward, it is also true that in the short term, the inflation is real and will be here with us. Which means there will be a pressure on margins, one that we will try and mitigate as much as possible with price hikes and even more work on things like accessories and software, but they can't be fully mitigated.
So, expect a short -term impact on margins. But the silver lining in all of this cost pressure is that commodities eventually will find their natural level once again. And every time a business like ours will go through this kind of a phase, it emerges out much more stronger. We saw this during FY '23 when the build -up of pressures of reducing subsidies created a climate which led to the birth of Ather's Pro -Pack business model and the entire AtherStack approach.
We believe the entire spike in commodity prices, which we hope will be short -term, will end us up with better cost structures, better margin structures, better price structures, which will survive the elevated prices today and will land up in an even bette r than estimated eventual cost structures in the long term. And one big thing that we're excited about, which will also help, by the way, with the cost structures and particularly sidestepping really expensive commodities, is

our upcoming scooter platform EL.
We spoke about EL in FY '26, unveiling the platform and a few concept vehicles on it in the last Ather Community Day in August last year. Just a quick recap, it's an extremely versatile platform focused on safety, convenience, and design ed with cost in mind. It comes with a lot of significant technology upgrades like the Ather Charge Drive Controller, which brings onboard charging, reducing the size of the charger.
It comes with larger wheelsets, it comes a new technology called AEBS, Advanced Electronic Brak

ing System, a technology that mimics an ABS -like braking experience in a large percentage of the same safety scenarios at a fraction of the cost of traditional ABS technology. So, all of this goes live in ABS -- in EL later this year. It also has a substantially better cost structure because it's been designed with this cost in mind, particularly moving away from aluminum frames to steel frames and a much simpler transmission system.
The expectation that we have is , if you see the overall E2W market today, there are broadly four categories, four price segments the way we see the market. There is the entry segment, which is below INR1 lakh ex-showroom price. Then there is the mass segment, which is from INR1 lakh to INR1.25 lakhs. Then there's the mass premium segment, where Ather operates heavily today, from INR1.25 lakh to INR1.5 lakh. And then there's the premium segment, which is greater than INR1.5 lakh, where Ather absolutely domin ates the market, particularly with the 450 product line.
If you see the larger market, particularly with the key five players, our competition, our peers have a lot of variants in increasing order as the prices come down. So, they will have four variants in the premium segment, six in the segment below in mass pr emium, 12 in mass, and 10 in the

entry segment. While Ather has a completely inverted pyramid with 6 variants in the premium segment, 3 in mass premium, and none in mass or the entry segments.
Our understanding is that the mass segment of INR1 to INR1.25 lakh is the largest chunk of the EV market today, electric two -wheeler market today. And with EL, we are particularly targeting this segment. In fact, EL will play a dual role in our expectation . It will give us the opportunity to expand margins with less dependence on really expensive commodities like aluminum, even reduced copper, and considerable cost reduction fundamentally with how we've designed this platform.
We believe EL products and variants will improve our margins in the premium and mass premium space, while giving us really, really viable products in the INR1 lakh to INR1.25 lakh space where Ather does not have any presence today. In fact, this is one of the cleanest product introductions one can imagine because we're talking about adding a product in a segment, in a price segment where Ather literally does not pla y and operate today, giving us a large upside with very limited cannibalization concern overa ll. So, that's the reason why we're excited about EL, and work is on in full swing, and we expect EL to be commercialized and in the field before end of this year.
And to scale up EL and obviously talking about production because I've already hinted that we are supply constrained, comes our next big topic, which is Factory 3.0 in Chhatrapati Sambhajinagar . This is our largest factory till date, initially planned for a 10 lakh total capacity with 5 lakh capacity going live in Phase 1 itself. Expecting commencement of Phase 1 by end of this calendar year, Q3 FY '27. This plant, apart from it driving the bulk of EL's growth in the coming quarters, it also will help unit economics because it has higher vertical integration than what Ather does today, with battery pack assembly, transmission assembly, painting, electronics assembly, and CED coating coming in -house.
It's also in a really vibrant supplier ecosystem, with Aurangabad, Chhatrapati Sambhajinagar itself being a really, really large and active supplier base. And also, it's inside a park which has now become a really large EV OEM geography. Ather was probably one of the first ones in the EV world to go into AURIC, but since then we've seen really many several large names also announcing the plants here, which really gives us a lot of confidence for the future of this plant and this entire geography.
It'll also long -term help our logistics c

ost because we expect Middle India to remain one of our largest and most important markets, followed by North India, particularly with EL. So, scaling up EL production out of AURIC will be an important part of our o perations strategy in the coming years.
Coming to marketing, we get a lot of these questions and we used to get a lot of these questions particularly during the IPO journey, that why don't we invest more in marketing? So, we have.

In fact, Q4 you will see a slightly higher other expenses, partly driven by an increased spending on marketing. And not just plain vanilla spending, our marketing's been evolving very strategically with clear growth pillars, clear pillars on which we will build our strategy on.

The first pillar which we spoke and we've already acknowledged -- already highlighted over the previous quarters was the " Zayada Mat Socho, Ather Lelo" campaign, which is going to become a long -term pillar driving assurance in the market, particularly in North India. But the latest pillar which we went live with in Q4 is a new campaign called "It's Easy on an Ather". This is the marketing lead that reall y focuses on why our products deserve a premium, why Ather's experience remains the only real magical exp erience in this market.

Highlighting experiences like skid control, superfast charging, the really accurate range prediction, so on and so forth. This has become an important part of our marketing strategy overall. All of it culminated with Ather becoming in Quarter 4 the number one searched EV brand across the country. A thing that we've finally -- that we're incredibly proud of, particularly given the fact that we are still some distance away from becoming number one in volume, it really hopefully portends to where Ather's brand equity today already is.

Not only in searches, we saw very healthy increases across the board. Our internal brand track interviews suggest that our awareness has gone up almost 100% up over the course of the previous 12 months from December '24 to December '25. Our consideration scores have gone up 31%, and finally, the most important criteria, which is preference, has gone up by a solid 50 percentage. So incredible results out of a really focused and strategic marketing investment and campaign over the last one year.

And this has been happening in the context and the backdrop of an incredibly fast -growing EV market. Now, one question that probably every analyst has asked everybody in this industry over the last one or two years is that why is the EV market not really g rowing fast? And I think over the last three, four months, five months, that's starting to change quite massively. We've shared some data for everybody's consumption.

If you look at EV category searches, they've surged 140% from Q1 to Q4 FY '26. If you see the overall volume, the volume growth has been fantastic, particularly in the last couple of quarters. In fact, we've been highlighting this for the longest time, tha t the EV industry is actually been growing incredibly well. It was the abnormal growth of the sub -INR1 lakh industry and its eventual decline that kind of hid the fact that products priced above a lakh have been actually growing incredibly well for years n ow.

And for now that the sub -INR1 lakh category has settled at a more sustainable level and is in fact also starting to grow, and you see the compounded growth on top of it of the greater than INR1 lakh category, you're seeing both these growths add up togethe r, and which is why finally the entire industry growth has become visible even to an outsider. We believe this trend will continue, and particularly with the current macro, we believe electric vehicles will continue to find even more favor with the consume r. And ultimately, it's the consumer who will vote with their wallets and will continue to buy more electric.

With

that, I am at the end of my section. I think we can open it up for Q&A now. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Krupashankar from Avendus Spark. Please go ahead.

Krupa shankar: Good evening and thanks for the opportunity. Congrats on a great set of numbers. My first question is on the Pro -Pack. Just wanted to get a sense -- so 93% overall attach rate is quite impressive. Just wanted to get a sense around , what would be the difference in the attach rates in newer markets like Madhya Pradesh or Uttar Pradesh, or as you call it, Middle India and Rest of India, versus more mature markets like Karnataka and Tamil Nadu, if you can share that ?

Tarun Mehta: Yes, hi. so it follows -- so the highest attach rates are in South India, particularly states like Kerala where there is nearly 98 %, 99% kind of attach rates, followed by Middle India, followed by rest of India. But to give you a sense that the gap is really narrow, Rest of India, which is our weakest zone by far, is also at 81% attach rate now. Overall attach rates are quite healthy.

There is a trend, however, that every time we open up a new store, every time we particularly open up a new city, the attach rates start at a much more humble level. We've seen, for example, Madhya Pradesh like less than a year ago was at 40 %-50% attach rates. Today Madhya Pradesh consistently does more than 80 %, 85% attach rates. It takes between two to four quarters for those new stores, for those new teams, the sales teams that join Ather, to you know sort of become comfortable with the idea of upselling anything beyond the vehicle.

Traditional automotive comfort and wisdom and experience ends at upselling things like, I don't know, like throttle covers and, you know, rain jackets and mats. Which we also sell very profitably because, you know, that stuff's also been fairly profitable f or us. But the entire concept of selling a Pro -Pack has been very alien to our industry.

So, there's a little bit of a learning curve for newer sales teams, newer stores, and particularly newer cities. But within a year, they all ramp up to a pretty healthy number. So, I wouldn't be surprised if even rest of India, which is North India particularly, gets to 90% attach rate over the next couple of years.

Krupa shankar: Right. So, considering the fact that you've opened close to about 170 branches in the last two quarters, 93% attach rates looks quite impressive. Do you see that ramp -up in the newer stores being much faster than what you had initially anticipated? Any tr end around that?

Tarun Mehta: So, in terms of volume, just absolute sales?

Krupa shankar: Absolute sales with newer branches, the attach rate getting better.

Tarun Mehta: So, sorry, I won't be able to immediately comment on the attach rates in the -- oh Yes, okay. So, sorry, there is one trend where if the new store is opening with an existing dealer partner, which is also three -fourths of our case, then the ramp -up is certainly much faster because the partner is already aware about the incentives, is alread y excited and believes in the power, and hence is able to push their teams much faster. With a newer partner, there will be a little longer ramp -up time.

In terms of just sheer volumes of scooters sold, yes, definitely new city, new store growth has definitely surprised us. we I think we generally tell all our new partners that with a new format stores, it'll take you a couple of years to sort of get to operational break -even and a little longer to get to actual break -even. But the reality has been much, much, much faster.

Operational break -evens on average being achieved by every cohort of stores that we open i

n

about a quarter, max two quarters. So, in about two quarters, they're getting to on average operational break -even. And so the overall ramp -up journey has been very , very, very heartening.

Krupa shankar: Thank you. My second question is on the near -term EV tailwind which you were talking about. Given that you've already stated that you're going to expand close to about 400 branches this year, are you seeing an accelerated branch opening in the first half to capitalize on this trend? Is that something which is on the cards? Can you talk a little bit more about that?

Tarun Mehta: We're not giving any specific guidance for new store expansion in FY '27. In FY '26, because this was the most important growth driver for us, we publicly put out a number because we wanted people to understand where we're really betting on. For us, the big growth driver in FY '27 and FY '28 is going to be first and foremost EL, followed by the continuous expansion of new stores.

In a sense, new store expansion's becoming a little bit of BAU for us. So, yes, I certainly hope that the current pace of EC opening on a quarterly basis will more or less continue, but we're not putting out a specific guidance of new stores in FY '28.

Krupa shankar: Got it. Thanks for answering my questions.

Moderator: Thank you. The next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Yes, hi. Thanks for taking my question and thanks for the comprehensive comments in the beginning. I had a few questions. I think firstly on the more near -term cost headwinds that you called out. I think, we'd generally understand the aluminum and metal really to some extent, but could you also give us some color on lithium? You know, there's been such a huge rebound on the lithium prices as well, right? So, how are we working to mitigate that and more fundamentally, how do we think about the impact of lithium prices on the overall BOM cost if you can share some color on that?

Tarun Mehta: Sure. thanks Gunjan. And Yes, and actually, this is why we've been trying to drive awareness around this , people are never surprised. Lithium particularly was a pretty crazy commodity, has been a pretty crazy commodity, going up from I think a base of $8 per kilogram to about $24 per kilogram in a very short span of time. It's cooled down a little since then, but Yes, it's still up more than 2x to 2.5x.

So, and we've seen very similar trajectories from most NMC commodities. So, nickel's been up crazy, manganese been up, cobalt's been up, lithium's been up. So all of it has created a situation where the even the finished good in lithium -ion cells, because the underlying raw materials have

been up so much, the final price of a lithium -ion cell is up quite considerably. Depending on where you buy from and when did you actually procure, prices could be up like 30, 40, 50 percentage also.
So, prices have been up, that's true. Unfortunately, even producing them in India is not really unfortunately an answer because the underlying raw materials which we all import are up a lot more. Aluminum, as we've already highlighted, is up and actually I believe will be up will go up a little bit more given the Hormuz crisis. So Yes, that's all we're dealing with.
We believe that the overall commodity price inflation is between 40 to 50%. Obviously, which will not increase the BOM by 40 to 50 percentage. The overall BOM increase is going to be a fraction of it, but this is still I think larger than any commodity sup ercycle I think our industry's ever seen.
Gunjan Prithyani: And this 40 % to 50% or 30 to 50% that you mentioned on the lithium or the cell cost, like everything is up, is it fair way to think that the cell in itself will -- is there a number that you can give me in the sense that what will be the cell as a percentage

of BOM cost? Because this number
has changed over the last two, three years as the cost structure has improved, right? So, what should be the ballpark number of, the battery cell, pack, motor, anything that you can give us, that can make us think better on this?
Tarun Mehta: Yes, so overall cells used to be 15 %-16% of the overall BOM, sub -20% of the BOM until a few quarters ago. But obviously, since then it's seen a reasonable amount of spike up. So, now it's a slightly larger part of the overall bill of material of the vehicle. Aluminum, there's a fairly healthy amount of aluminum in most electric vehicles. In fact, on our current platforms, I would say the content of aluminum is comparable to that of ICE, which uses otherwise a lot of aluminum in transmission and engine.
Something that we should be able to de -risk substantially once EL comes in because it uses far lesser aluminum than in the past. What else? I think these are the big ones. There's a long tail of small other precious metals which are also up.
Gunjan Prithyani: Okay. This is very useful. And the second question that I had was on the slide 24 of the industry structure that you have on the presentation. Can you give us some idea on how the market, market sizes are in different segments and what I'm trying to really get at is that what is the part of the market, addressable market that Ather is currently addressing? You know, just a bit more on the sizing of this different price buckets that you've called out on slide 24 .
Tarun Mehta: Yes, thanks Gunjan. So, you know, for everybody's benefit, I'll just call this out again. We believe there are four price segments in the Indian market: the sub -INR1 lakh ex -showroom price is what we call as entry; INR1 to INR1.25 lakh rupees is mass; INR1.25 to INR1.5 lakh is mass premium; and INR1.5 lakh and beyond is premium. It's hard to exactly nail down what is the size of each of these segments, but a few months ago, Vahan website did put out some beta data around specific variants.
So, unfortunately, the website is down, so we are not able to refer to it right now, but the data was up there a few months ago. If you were to study it, what it would tell you is that it looks like

the premium market is between 10 to 15 percentage. The mass premium market is a little larger, between 15 to 20 percentage. The mass market -- so basically everything INR1.25 lakh and above where we play today is give or take about 25 to 30 -ish percentage of the overall E2W market.
By the way, this I'm only looking at the volume of the top five manufacturers. There are other manufacturers also whose volumes I've not considered while I'm talking about these indicative sizes. Our understanding from that data back then was that mass mark et could be as high as 45 to 50 percentage of our industry, and the sub -INR1 lakh segment which has shrunk is probably between 15 to 20 percentage of the industry. Again, please take this with a pinch of salt. These were our very rough estimates from an ea rly beta site that we saw and our field intelligence.
I could be off here, but directionally I do feel that this sounds about right in the market. So, what we are excited about is that EL opens up the mass market for us, where Ather today and, when you look at our price points with Pro -Pack, today Ather actua lly has no product in the mass market at all. So we're missing almost half of the industry. So, we are excited about EL because that unlocks that entire segment to us.
Gunjan Prithyani: Got it. And last question, just going to the Delhi EV policy news which came through. And it is

not about, what happens to that policy, but I think fundamentally if the push from the policy makers is towards EVs, I think at this point of time we're essent ially just catering to scooters, right? So, I just want to hear from you how do you think about

the viability of electric bikes? Is
it possible now?
And I think the fact that, we are seeing significant shift or rise in inquiries for EVs, it'll still cater to only the scooter part of the industry, right? So, how do we think how soon can electric bikes come through? Is it viable? What do you, just is -- should we see this as an opportunity or a challenge?
Tarun Mehta: Yes, so thanks Gunjan. I think the Delhi EV policy conversation is very interesting because I believe this is the first time when we are seeing very strong signs of a strong support by almost every section of the society for a clean vehicles -friendly policy like this. There were -- there've been previous conversations, including the famous odd -even policy, but I think they've had mixed support from grounds up. I think this is the first time I'm seeing in my experience where there seems to be a groundswell of support from all corners.
So, let's see, but it looks like something may actually make its way to final execution this time around. And I think it's also happening -- you should also see this in the context of the larger macro, which is definitely pivoting towards becoming EV -friendly now. I think this entire oil crisis has, while it's not changed petrol prices yet, and that in fact that change if it does happen could create an even bigger demand upside for our business and the industry, but even without that, just the LPG crisis it self I think has put this question in the mind of every customer that maybe it is electric and electricity which is the most reliable commodity.
So I've been joking about internally that we're hearing signs of, you know, the consumer going from " if you're buying an electric, then at least keep one petrol in the family, one petrol vehicle"

to "well, you can have all vehicles, but at least keep one electric vehicle in the family, for that rainy day." so I think there is a larger shift underway here. Details like, you know, whether motorcycles are there or not, I honestly believe are secondary layer.
And if there's going to be a very strong pull from the market, I think we'll all build electric motorcycles. They're not rocket science, they're definitely buildable. There's just not been enough or any meaningful proofs that establish them to be a large m arket yet. But when the time comes, I'm sure all of you will see all of us, not just startups but incumbents alike, build a massive portfolio of them.
Gunjan Prithyani: Okay. Got it. I'll join back the queue. Thank you so much.
Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: Yes, hi. Good evening, Tarun. Tarun, and congratulations on a very strong performance. Firstly, I wanted to talk about industry growth itself, any thoughts there, how should it shape up? And also for Ather, you seem to be operating in a supply constraint scen ario, I think you mentioned that as well. How much can you extract from the current facility and how should we expect the ramp -up of new facility?
Tarun Mehta: Yes, thanks Kapil. So, the current facility is running at -- it's not still at full capacity, so I do believe there is a little bit more juice to extract out of it. But we're definitely now on the edge, and which is why we've decided to talk a little bit more about AURIC and the new factory in this earnings call to give everybody a little bit of a sense of how work is shaping up there. The current capacity is designed to do 35,000 a month, and now multiple times we've been at 90 % to 95% of that utilization over the last few months.
So, we're definitely running at the edge, and hence any gaps are very unforgiving. But kudos to all the operating teams involved to have run a really tight ship with all the constraints. And hence the excitement around AURIC. AURIC in Phase 1 should unlock 42,000 units

a month
incremental capacity, hopefully paving the way for at least another couple of years of solid growth and uninterrupted growth for us.
Kapil Singh: So by when can we expect 42,000 per month from a capacity point of view that you can extract?
Tarun Mehta: Okay. So, we are expecting commencement of trial productions by before end of this calendar year, likely around festive or just around that timeline. And the full 42,000 should be operationalized before end of this FY for sure.
Kapil Singh: Okay. Great. Second question, just following up on the cost side. Can you also talk about how much price hike we have taken? Is it enough to cover the cost increase? And should we expect more price hikes to come through? And also some comments on the cost reduction. You know, last year we had a very impressive run. So how much cost reduction can we expect as we go through the next year?

Tarun Mehta: Right. So, in Quarter 4, we took a roughly about a INR1,000 to INR1,500 kind of a price hike. and in Quarter 1, like basically this April last month, we took on a blended basis about roughly

another INR2,500 price hike. So, just in this calendar year, we've already taken roughly about just under INR4,000 kind of a blended price hike. We do believe the market might be okay to support a little bit more, particularly given the competitive scenario where, like the underlying cost structures have gone up. So we could likely look at another price hike in the coming few months. Sorry, and sorry, did I answer your questions around price hikes and...
Kapil Singh: No, I was looking for cost reduction as well, if you can talk about what is the cost reduction targets or potential, I should say, that is...
Tarun Mehta: So, the biggest cost reduction that's coming ahead of us is EL going live. Obviously, that'll take a few quarters to become visible in the P&L from it going live. But expect that by the end of FY '27, the largest source of cost reduction and COGS reduction that'll come in a P&L would be largely EL -linked. While the current platform products, which is 450 and Rizta, can see a meaningful more cost reduction, they will be slightly lower priority in the short term over the move to EL first.
So, in priority order, cost reductions will come from EL over the course of FY '27, a little bit more backloaded. There will be some cost reductions that'll also come on the 450 platform, particularly on Rizta first, followed by 450. They may not be as lar ge as the last two years because the bigger focus will be in operationalizing EL first. But once EL is operationalized, I think the actual improvement will be lot more than previous years.
Kapil Singh: Okay. And just one last clarification. On slide 25, you have mentioned in the premium and mass premium segments, EL to expand margins. Can you explain this? Are we going to have EL products there in premium and mass premium also?
Tarun Mehta: Yes, so we do see that there is a lot of potential. What we've been building with EL over the last few years has shaped up incredibly well. And while obviously it has a substantially better cost structure and opens up the mass market for us, what we've realized is given our DNA, we've actually built a pretty fantastic product even in the higher price segments, one that can actually go after current Rizta price points quite aggressively.
And financially, we are quite immune whether there's cannibalization between Rizta and EL because fundamentally EL unlocks better margins for Ather. So, Yes, there will be likely variants of EL even in the mass premium segment, potentially even in premium, but certainly in mass premium.
Fundamentally , Yes, just last point I want to make is I do want to like make sure everybody understands that EL is fundamentally a platform and not just one product. So, the number of variants, the number of

products we can build on it even this year and definitely in the c oming years can be quite large, and hence expect this platform to have products across all price segments, while obviously the early focus will be the mass premium and the mass segments.
Kapil Singh: Okay. Since you mentioned that, let me ask whether EL is capable of having motorcycles also or for motorcycles you need a new platform?
Tarun Mehta: Kapil, that'll be a stretch too much. We’ll need a new platform. We call that the Zenith platform.

Kapil Singh: Oh, okay. Thank you. That's all from my side and best wishes.
Moderator: Thank you. The next question is from the line of Vipul Agrawal from HSBC. Please go ahead.
Vipul Agrawal: Hi. thank you for taking my question. So, my first question is on the margin side, like understanding that current commodity cost inflation is pretty steep. Can you help us understand how is it getting distributed across supply chain, assuming that obviously Ather will not be absorbing the complete -- the inflation part? So, how it will be absorbed across the supply chain, that is one. Second is on like how much of the commodity cost inflation in last six month s has been passed on so far?
Tarun Mehta: Right. So, Vipul, I would say only a small part of the inflation's been passed on till now . Because of how we've managed procurement and how we've managed stock -piling, we've been able to push out most of the hikes till date. And honestly, if the commodities had cooled down by now, I would have not even talked about it because then we would have just managed through the rest of the year.
It's a fact that till now we haven't seen commodities cool down, in fact in Q1 we see signs of it going up further, is why we are highlighting them here. So, expect the hits in the coming quarters.

How much is distributed? Honestly, I think given that volumes are rising up really rapidly and we are in the middle of a fast -growing industry and on top of it Ather has a fair bit of market share that it can further expand into, I believe that there is an opportunity for us to trade off some of these hikes with the suppliers.

But it's also a fact that suppliers ultimately have limited leverage because it's the underlying commodity that is becoming more expensive and not their processes. So, we're trying and we're hoping to share some of the burden with the supplier, but I expec t the bulk will come to the company or the customer.

Vipul Agrawal: Understood. Thanks for that. one question on ASP. Like you have taken a price hike in January and your AtherStack attachment rate has also increased in this quarter, but your ASP seems to be flat Q -o-Q in 4Q. So what's the reason? Like ideally there has to be some increase in that. So , what am I missing over here?

Tarun Mehta: So, I believe the INR1,000 to INR2,000. change is likely ascribed down to how offers are structured in Q4, particularly the start of Q4, and some of the expansion in Middle and particularly North India with specially newer stores leading to a lower ASP. That trend typically tends to cool down as or typically tends to sort of go away as stores age up a bit, their ASPs do tend to inch up. So, I wouldn't read too much into it right now. Beyond that, is there anything? No, I think that's pretty muc h it.

Vipul Agrawal: Okay. So, we can expect some increase in ASP in coming quarter before you launch the EL platform. That would be a fair understanding.

Tarun Mehta: ASP, so actually also just a highlight, just a reminder, what you see in our financials is our realization, so which will obviously whenever the FAME subsidy expires over the next few months, take a INR5,000 hit because that incentive will go away. But if you see ASP at the ex -

showroom average price in the market, then that will continue to inc

h up because we've been taking very disciplined price increases every few months.

Vipul Agrawal: Makes sense. Another question is on other expenses. Like you have talked about increase in marketing spend, but your other expenses was up by around 34%. So, is this something has to do with the new plant as well or just the marketing expense or something else is also t here?

Tarun Mehta: So, actually because warranty and logistics sits in other expenses, and that's technically for all practical actually a variable expense. Given that volume sold was up 23% compared to the previous quarter, that number definitely went up. So that's a considerable part of apart from marketing what went up this time.

Sohil Parekh : So, basically, Vipul, the warranty cost also is calibrated, if you recall in the last year's earnings call, we do a calibration at end of the year. So, that adjustment is also reflecting, and when you're doing a provisioning for warranty, you want to be a little conservative with the commodities prices shooting up, right . So, that is the calibration that we have done. So, with the increase that you see in the other expenses over Q3 is the combination of marketing and warranty.

Vipul Agrawal: Makes sense. Just one last question on the depreciation part. So, my understanding, correct me if I'm wrong there, understanding was that it should have increased with the launch of EL platform, but it has increased on a sequential basis in fourth quarter only. So, is it because of the new plant or what is the reason behind increase in depreciation in fourth quarter?

Sohil Parekh : So, for the depreciation, let me give a larger context for the entire year because that will explain the entire movement as well. So, there are three things: one is the Ather 450 platform as a platform, so today the 450 product and Rizta product is built on one single 450 platform, EL is a separate platform. Just like that, 450 is a separate platform. In our books, it has a useful life of seven years, and now that platform is amortized and depreciated, that is why it is sitting in the deprecia tion line.

Of course, we continue to build and do enhancements on that platform going forward also, but from an accounting provision point of view, the platform life was ascribed as seven years and that has gone into depreciation. Then there is a -- because of increase in terms of volume that we do out of the existing plant at Hosur, and slowly as the ramp -up is happening and as we keep on doing more and more production over the -- which has actually happened if you see the Q2 to Q3 to Q4, we have started operating mu ltiple shifts. So, we moved from a single shift to dual shift to a triple shift. So, the depreciation will also follow that suit. And again, at the end of -- so that is the second point.

Third is the useful life calibration which happens across various tools, jigs, platforms, because you are doing more shots and that is why the useful life has to be calibrated based on the actual usage. So, this is the entire depreciation charge is a combi nation of that. And EL is still in the development phase, so once so the amortization for EL as a part of the entire platform and the amortization will come in next financial year once we do the start of production.

Vipul Agrawal: Makes sense. Thanks for the detailed answer. That's all from my side.

Moderator: Thank you. The next question is from the line of Pooja Seth from Yes Securities. Please go ahead.
Pooja Seth: Thank you and congrats for the good set of numbers. I just want a clarification on the other financial assets in the current assets, because I am seeing that it was increased too much. So, can you throw some light why it all increased so much?
Sohil Parekh: So, that is largely the fixed deposits or the term deposits as we call it, which is the IPO money sitting there.
Pooja

Seth: And is there anything because of the EV subsidy receivables that we used to get?
Sohil Parekh: Yes, that also sits there, but that's a very nominal sum because all the FAME -related incentives or the PM E -DRIVE is coming in regularly. Only the Maharashtra state subsidy, which is something new which got introduced in the recent months, so that is a very small amount which is reflecting in the other financial assets. But largely, most of it is the term deposits or the FDs as we call them.
Pooja Seth: Okay. And sir, another question, as we are going to launch a new product in the EL platform, so it is still the same in this festive season we are going to see those models?
Tarun Mehta: Yes, most likely. We're not giving an exact month of launch for obvious reasons because we can't, we don't want to at this stage, but we believe by this festive would be a good timeline for the products to come out.
Pooja Seth: Okay. Sir, one more question. Do you guys anticipate any kind of supply issue because some of your competitor is facing? So, any kind of supply issue you guys are facing?
Tarun Mehta: So, we had -- actually the biggest challenge for us is trying to ramp up as quickly as the market is ramping up. Over the last few months, there've been localized challenges in supply ramp -up. For example, in November -December, there were particular variants which were becoming really fast -growing in the market for which we had some constraints. We've come over that and you've seen increased supply and sales every month. But frankly, retail demand has been running higher than estimate.
So, for example, in Q4, while wholesale is what it is, retail was actually a little higher. And by retail, I'm saying what dealers have already sold to customers even if they're pending registration. So, retail number was higher, which is actually quite a crazy stat because Q4 is also the quarter when you need to dial up your wholesale quite materially because in December you've cleaned up the channel stock quite a lot. So, we're not able to, we're definitely ramping up. Even in April, there was a little bi t of a specific challenge given the election season and the disruption to labor there, but looks like that's also behind us.
So more localized challenges, not like a secular, not like we are not able to access materials, but squeezing more out of the current capacity until the next capacity goes live. Also, last point, we've been trying to secure material as -- so one big true north for us has been secure production, secure supplies at almost all cost. Big true north for supply chain for us has been de -risking on

technology, vendor, and geography, which is how we brought in LFP, NMC, NCA, which is how we've been working -- we've been adding more and more suppliers for every single component.
For things like memories, for example, we don't mind paying a little bit more if it allows us to secure long -term more capacities, and which is probably avoided some -- which has helped us avoid some disruptions that otherwise could have hit us. So, I do want to call that out because we've invested actively towards it.
Pooja Seth: Okay. Sir, recently we have started a Phase 1 in capacity that we are going to set up. So, when we can start the top lines coming from there?
Tarun Mehta: Before end of this financial year, most likely Q4 from the new factory.
Pooja Seth: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Chirag Jain from Emkay Global. Please go ahead.
Chirag Jain: Yes, hi. Good evening, Tarun and Sohil . So, Tarun, you mentioned about the macro tailwind with respect to EV demand. Have we noticed any major difference in the customer profile over the past few months in terms of maybe more share of first -time buyers or any regional disparity which gives con fidence that the current EV d

emand momentum could be sustained or probably
we could see an acceleration in terms of EV adoption?
Tarun Mehta: I would say it seems like the demand is becoming more mainstream in nature, which is also what's helping us go deeper and deeper in the country. Today Ather's present across 500 cities and I was just looking at this data a few weeks ago, our growth in mar ket share in Tier 3 cities is right now higher than Tier 2 cities, very funnily. So, while obviously that presents us with an obvious opportunity to grow further in Tier 2, but it also tells a really, really, really happy story that demand is n ot just in the tech -forward markets but across the length and breadth of the country.
So, we've been definitely seeing this, we've been seeing this build up continuously. Last few months, we've seen a little bit of acceleration of this trend. We've also seen a higher comfort for paying for more assurance. So, products that end up -- even internally in our portfolio, products that communicate more assurance seemingly are finding more and more buyers.
For example, our 8 -year battery warranty product has been selling really well. We are seeing a really strong demand in every time we communicate assurance as a message, we see strong traction, which is also really symptomatic of a market that's becoming more mainstream, where assurance becomes a very important part of the reason to bu y or reason to buy a specific brand.
Chirag Jain: Understood. And you've discussed about Pro -Pack. Can you also discuss in terms of how the other non -vehicle revenue stream has shaped up over the past let's say few quarters or years and probably how one should see going ahead and how that could support the overall profitability?

Tarun Mehta: So, there are four streams of revenue in non -vehicle. First, you've got the Pro -Pack, followed by the service revenues, followed by our accessories division, and finally followed by the charging infrastructure division. So, right now we're only sharing tr ends for the Pro -Packs. I did have this stat available, but we just figured we'll talk about it later.
One thing that's been accelerating really fast has been our accessories division, where the revenue per unit has been growing really, really rapidly. In the last few years, it's I think grown more than 30, 40 percentage. So, it's still on the larger scheme of things, it's still like a sub - INR100 crore s P&L, but it's growing well and at some point, in the coming few quarters, we will try and bring some visibility onto those other P&Ls also.
Chirag Jain: Okay. Thank you. Thank you so much. That's it from my side.
Tarun Mehta: Thanks Chirag.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Mur ali for closing comments.
Murali Sashidharan : Thank you, everyone. We appreciate all of you joining us today and for your continued engagement and support. We look forward to updating you on our developments in the coming quarters. Wishing you all a pleasant week ahead. Thank you.
Moderator: Thank you very much. On behalf of Ather Energy Limited, that concludes this conference call. Thank you all for joining us and you may now disconnect your lines. Thank you.

(This document has been edited for readability purpose)

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